BAJAJ FINANCE LIMITED

SEC/BM/2016/377 26 July 2016

The Manager, **BSE Limited** **DCS - CRD** **Phiroze Jeejeebhoy Towers** **Dalal Street,** **Mumbai - 400 001**	**The Manager,** **Listing Department** **National Stock Exchange of India Ltd.** **Exchange Plaza, C-1. Block G,** **Bandra - Kurla Complex, Bandra (East)** **Mumbai - 400 051**
Scrip Code:500034	**Scrip Code : BAJFINANCE – EQ**

Dear Sir/Madam,

Sub: Investor Presentation for the quarter ended 30 June 2016

Please find enclosed herewith Investor Presentation for the quarter ended 30 June 2016.

Thanking you,

Yours sincerely,
For **Bajaj Finance Limited**

BAJAJ FINANCE LTD.

Anant Damle
Company Secretary

Encl: As above






BAJAJ FINANCE LIMITED

Q1 FY17 Presentation

26th July 2016

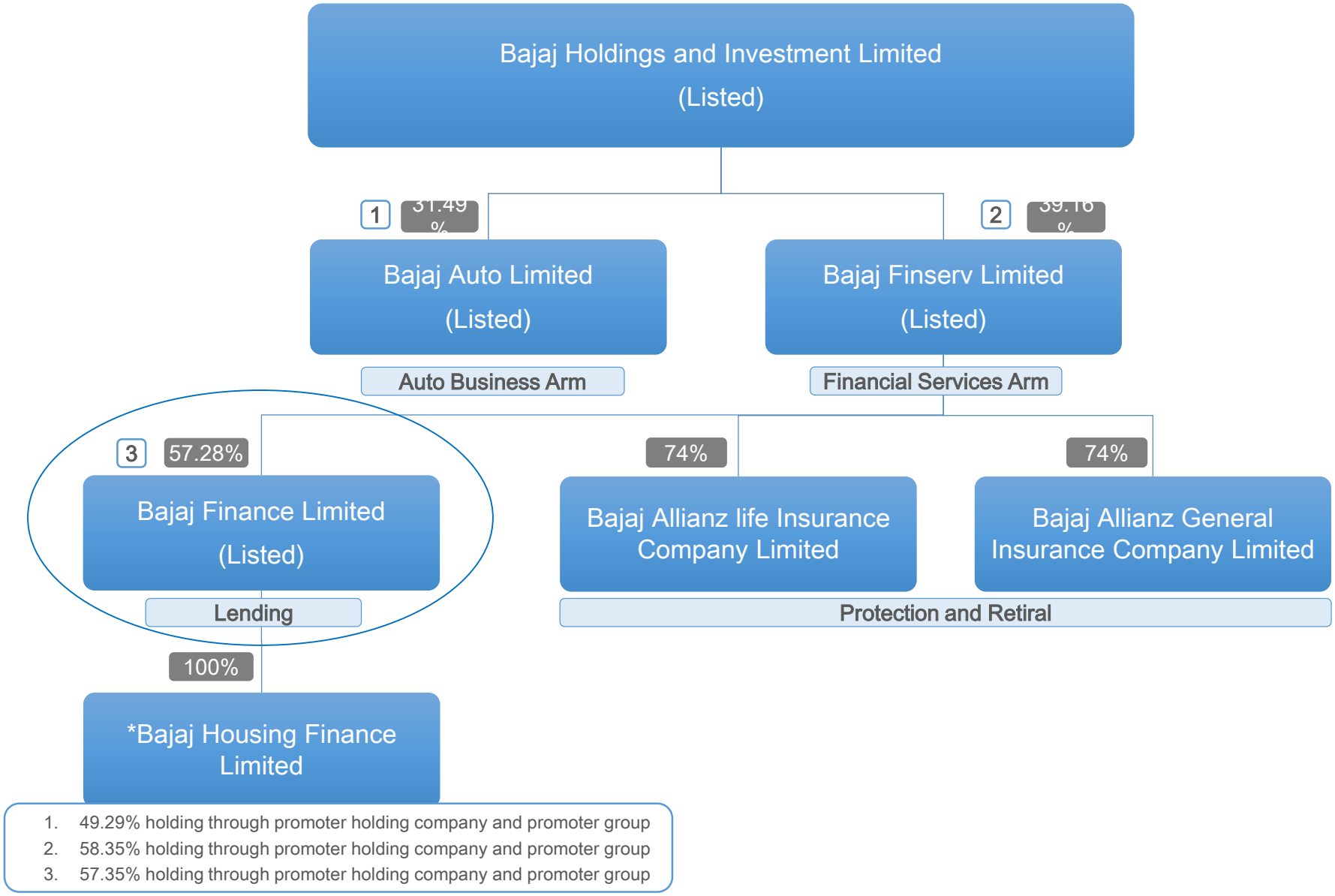
GLOSSARY

2W	Two Wheeler
3W	Three Wheeler
ACMF	Auto Components Manufacturer Financing
AR	Assets Receivable
ARU	Activation, Retention & Usage
ASC	Authorized Service Centers
AUF	Assets Under Finance
AUM	Assets Under Management
B2B	Business to Business
B2C	Business to Customer
BL	Business Loan
CAGR	Compounded Annual Growth Rate
CIF	Cards in Force
CPI	Consumer Price Index
EMI	Existing Member Identification
EPS	Earning Per Share
FIG	Financial Institutions Group
FII	Foreign Institutional Investor
FPI	Foreign Portfolio Investment
GNPA	Gross Non Performing Assets
HL	Home Loan
IFA	Independent Financial Advisor
IIP	Index of Industrial Production
IRR	Internal Rate of Return
LAP	Loan Against Property
LAS	Loan Against Securities
MF	Mutual Fund
MM	Million
MSME	Micro, Small & Medium Enterprise
NII	Net Interest Income
NNPA	Net Non Performing Assets
NTB	New to Bajaj Finance
Opex	Operating Expenses
POS	Point of Sale
PPC	Products per Customer
RBI	Reserve Bank of India
ROA	Return on Assets
ROE	Return on Equity
SME	Small & Medium Enterprise
TAT	Turn Around Time
TTD	Through the Door
WPI	Wholesale Price Index

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BAJAJ GROUP STRUCTURE



1. 49.29% holding through promoter holding company and promoter group
2. 58.35% holding through promoter holding company and promoter group
3. 57.35% holding through promoter holding company and promoter group

Above shareholding is as of 30 June 2016

*W.e.f Nov 2014 . Bajaj Housing Finance Limited has a 100% subsidiary named Bajaj Financial Securities Limited which does not have any operations

BAJAJ FINSERV GROUP - EXECUTIVE SUMMARY

Bajaj Finserv is the financial services arm of the Bajaj group with business interest in “Lending”, “Protection”, and “Relationship management” through its various subsidiaries

Bajaj Finance Limited

- A 29 year old non bank finance company
- Diversified Consumer, SME, Rural & Commercial lender in India
- Credit rating of AAA/Stable by India Ratings
- Credit rating of AA+/Positive by CRISIL & AA+/Stable by ICRA
- 193 consumer branches and 397 rural locations with over 21,000+ distribution points
- Large customer franchise of 16.07 MM
- 6.83 MM new loans acquired in FY’16

Bajaj Allianz General Insurance Company*

- 2nd largest private General insurer in India as of FY16
- Offers a wide range of General insurance products across retail and corporate segments
- Highest Profit After Tax among private players in FY 16. ROE of 22.5% in FY16
- Combined ratio of 99.3% in FY16
- Recognized in the market for claims servicing
- FY16 PAT of ₹ 564 crores

Bajaj Allianz Life Insurance Company*

- Amongst top 4 private players as of FY16 on new business
- Deep pan India distribution reach
- Diversified distribution mix consisting of agency, bancassurance, other partners, direct etc.
- AUM of over 44K crores as of FY 16
- Net worth of ₹ 7,631 cr at 31st March 2016
- One of the most profitable private life insurers in India.
- FY16 PAT of ₹879 Crs

WHAT DO WE STAND FOR

"A non bank with strategy, structure and support model of a bank."

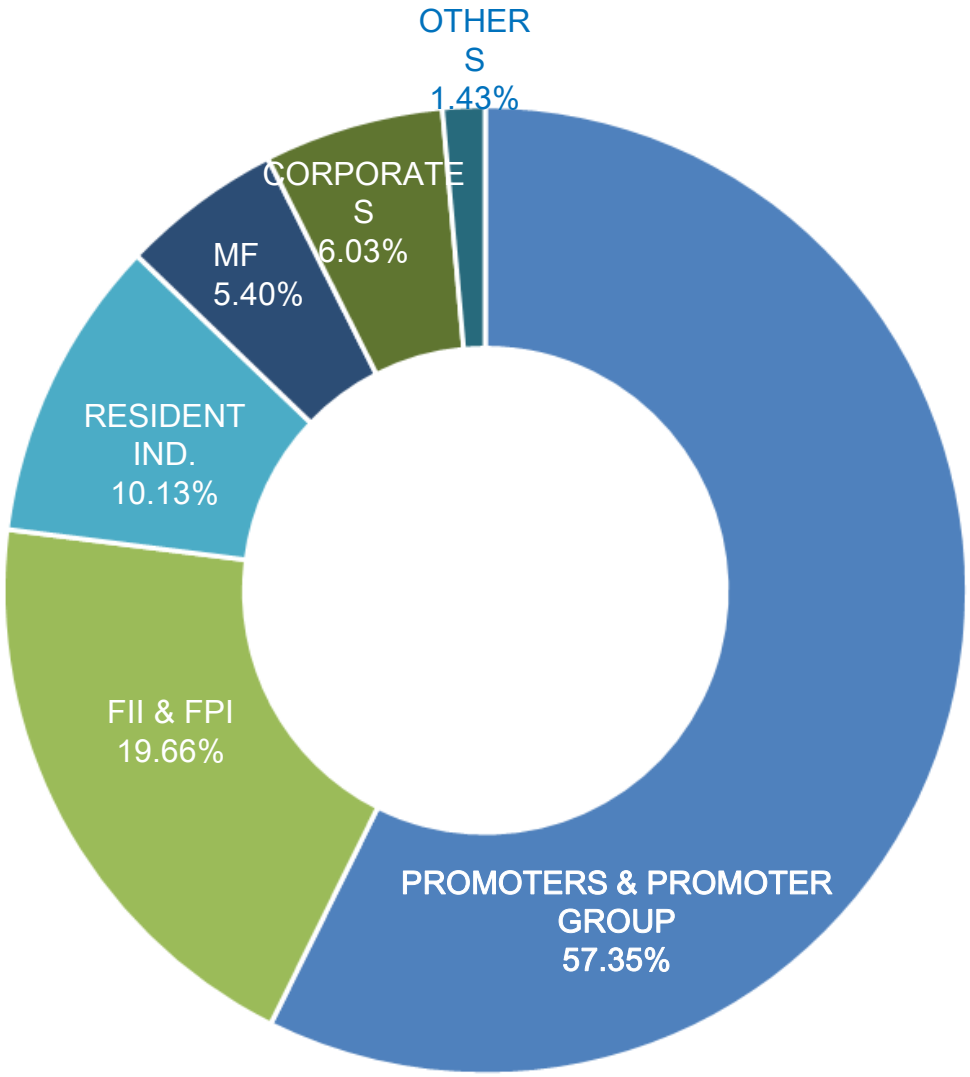
"Our diversified financial services strategy envisages an optimal mix of risk and profit to deliver a sustainable business model."

"The business construct is to deliver a sustainable ROA of 3% and ROE of 18-20% in the medium term"

KEY STRATEGIC DIFFERENTIATORS

Part of the Bajaj Group – one of the oldest & most respected business houses	Strong brand equity has helped build a 2600 Crs retail deposit book in less than 2 years
Focus on mass affluent and above clients	Cross sell client base of 9.24 MM
Strong focus on cross selling assets, insurance and wealth products to existing customer	Consumer PPC of 2.88 and SME PPC of 3.76
Diversified lending strategy	AUM mix for Consumer : SME : Commercial : Rural stood at 44% : 40% : 12% : 3.4%
Highly agile & highly innovative	Continuous improvements in features of products & timely transitions to maintain competitive edge
Deep investment in technology and analytics	Has helped establish a highly metricised company

BAJAJ FINANCE – SHAREHOLDER PROFILE



Top 20 investors & their holdings

S.No	Name of Shareholder	As on Mar'16	As on June'16
1	BAJAJ FINSERV LTD	57.28%	57.28%
2	MAHARASHTRA SCOOTERS LIMITED	3.52%	3.52%
3	GOVERNMENT OF SINGAPORE	2.37%	2.65%
4	SMALLCAP WORLD FUND, INC	1.13%	1.13%
5	MACQUARIE EMERGING MARKETS ASIAN TRADING PTE. LTD.	0.61%	0.96%
6	ACACIA PARTNERS, LP	1.13%	0.71%
7	HDFC MID - CAP OPPORTUNITIES FUND	0.92%	0.71%
8	HDFC STANDARD LIFE INSURANCE COMPANY	0.73%	0.68%
9	AXIS LONG TERM EQUITY FUND	0.55%	0.59%
10	ACACIA INSTITUTIONAL PARTNERS, LP	0.71%	0.58%
11	VANGUARD EMERGING MARKETS STOCK INDEX FUND, A SERIES OF VANGUARD INTERNATIONAL EQUITY INDEX FUND	0.44%	0.45%
12	BFL EMPLOYEE WELFARE TRUST	0.60%	0.45%
13	ACACIA BANYAN PARTNERS	0.48%	0.45%
14	ACACIA CONSERVATION FUND LP	0.59%	0.45%
15	PINEBRIDGE INVESTMENTS GF MAURITIUS LIMITED	0.44%	0.44%
16	GOLDMAN SACHS INDIA FUND LIMITED	0.61%	0.44%
17	WF ASIAN SMALLER COMPANIES FUND LIMITED	0.48%	0.36%
18	BIRLA SUN LIFE TRUSTEE COMPANY	0.36%	0.36%
19	ISHARES INDIA INDEX MAURITIUS COMPANY	-	0.35%
20	VANGUARD TOTAL INTERNATIONAL STOCK INDEX FUND	0.31%	0.32%

FINANCIAL SNAPSHOT

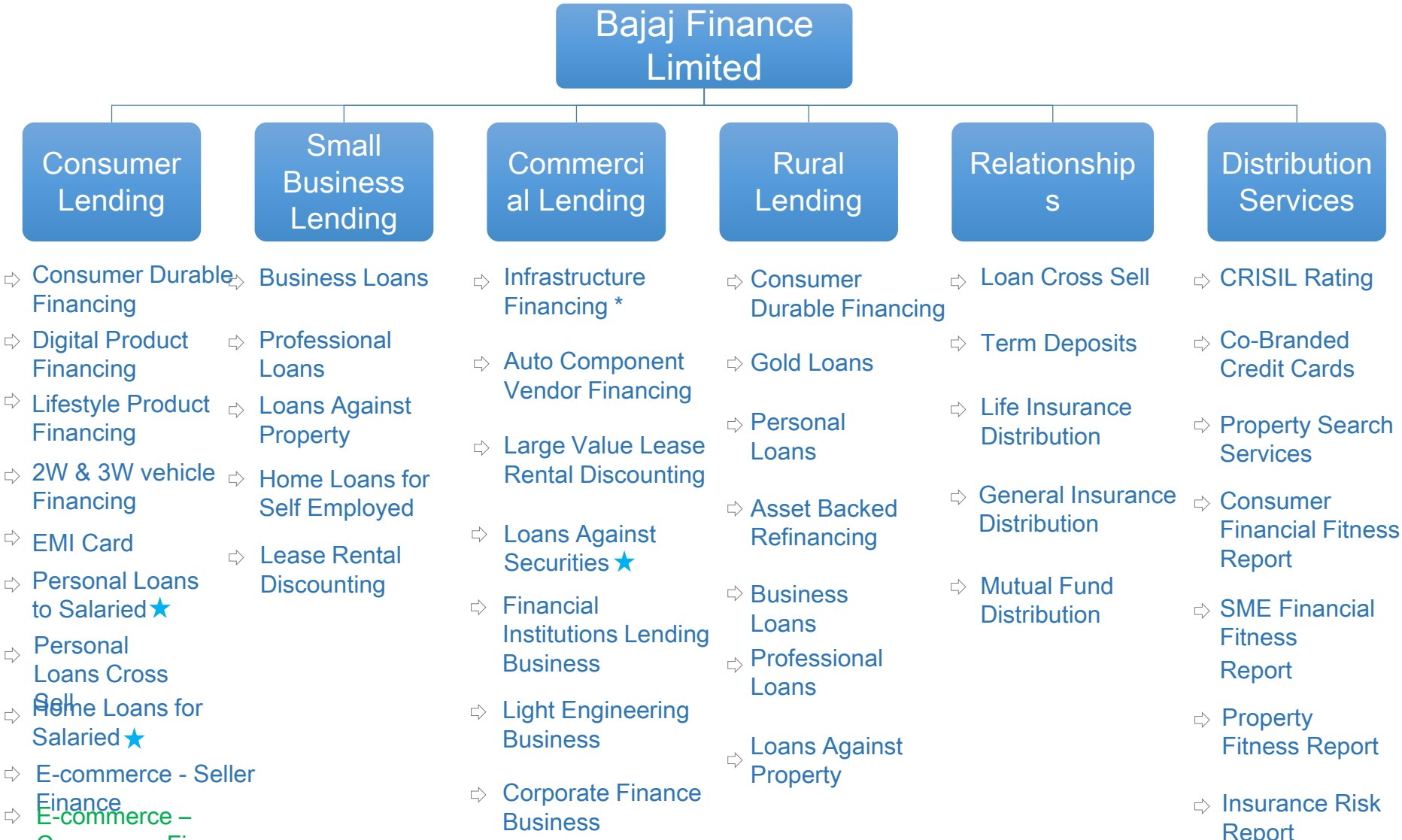
₹ in Crore

Financials snapshot	FY09	FY10	FY11	FY12	FY13	FY14	FY15	FY16	YoY FY15 – FY16	CAGR (8 years)
Assets under management	2,539	4,032	7,573	13,107	17,517	24,061	32,410	44,229	36%	50%
Income from operations	599	916	1,406	2,172	3,110	4,073	5,418	7,384	36%	43%
Interest expenses	164	201	371	746	1,206	1,573	2,248	2,927	30%	51%
Net Interest Income (NII)	435	715	1,035	1,426	1,904	2,500	3,170	4,457	41%	39%
Operating Expenses	220	320	460	670	850	1,151	1,428	1,949	36%	37%
Loan Losses & Provision	164	261	205	154	182	258	385	543	41%	19%
Profit before tax	51	134	370	602	872	1,091	1,357	1,965	45%	68%
Profit after tax	34	89	247	406	591	719	898	1,279	42%	68%

Ratios	FY09	FY10	FY11	FY12	FY13	FY14	FY15	FY16
Return on assets	1.4%	2.8%	4.4%	4.2%	4.1%	3.6%	3.3%	3.5%
Return on equity	3.2%	8.0%	19.7%	24.0%	21.9%	19.5%	20.4%	20.9%
Earning per share (Basic) - ₹	9.3	24.2	67.5	110.8	135.7	144.8	179.9	242.3
Net NPA	5.50%	2.20%	0.80%	0.12%	0.19%	0.28%	0.45%	*0.28%
NPA provisioning coverage	32%	55%	79%	89%	83%	76%	71%	77%

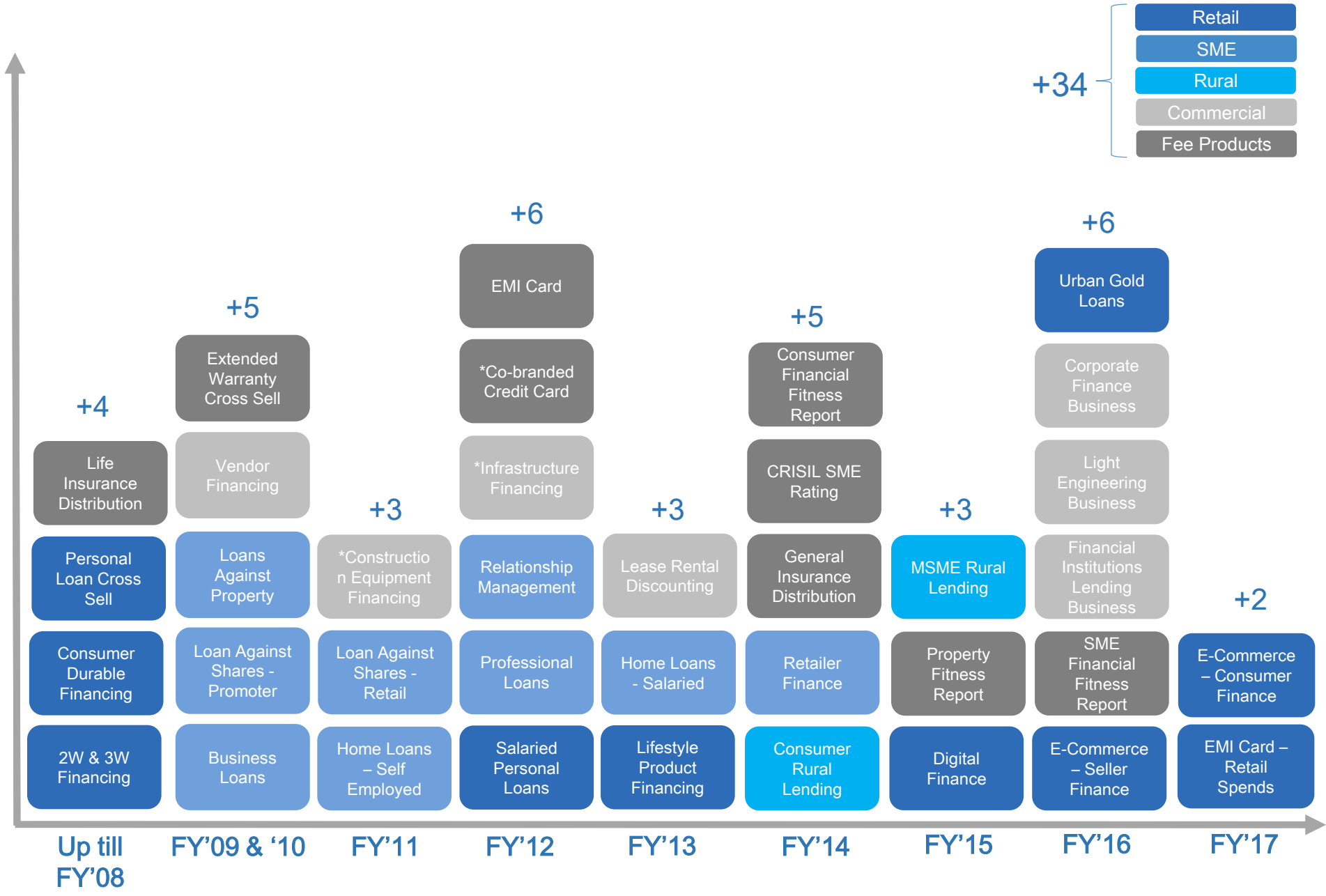
*The net NPA & provisioning coverage numbers for FY16 are at 150 days over-due while the same for previous years are at 180 days over-due

BAJAJ FINANCE LIMITED PRODUCT SUITE



* Paused ★ Available through Digital channels as well Newly launched product / business

BUSINESS/PRODUCT LAUNCH JOURNEY



* Closed

EXECUTIVE SUMMARY

Bajaj Finance

- 29 year old non bank with a demonstrated track record of profitability
- Focused on Consumer, Rural, SME & Commercial lines of businesses
- Portfolio mix for Consumer : SME : Commercial : Rural stands at 44% : 40% : 12% : 3.4%
- Strategic business unit organization design supported by horizontal common utility support functions to drive domain expertise, scalability and operating leverage
- Strategy is to focus on cross sell, customer experience and product & process innovations to create a differentiated & profitable business model
- The company has ₹ 49,608 Crores of Assets under Management with a net NPA of 0.41% and a capital adequacy of 17.82% as of 30 June 2016. The company in Q1 FY17 has delivered a pre tax profit of ₹ 652 Crores and a post tax profit of ₹ 424 Crores at an ROA[1] of 0.9% and ROE[1] of 5.5%

Consumer business

- Amongst the top three 2W lender in India focused on semi-urban & rural markets. Currently contributes to 32.3% of Bajaj Auto's domestic 2W sales
- Largest consumer electronics lender in India, focused on affluent consumers
- Amongst the largest personal loan lenders in India
- EMI (Existing Membership Identification) Card franchise crossed 6.1 MM cards (CIF)
- Amongst the largest new loans acquirers in India (6.83 MM in FY16)

Rural business

- Highly diversified lender in the rural eco system offering over 12 products in consumer and MSME business categories with a unique hub and spoke business model
- Geographic presence across 481 towns and villages and retail presence across 3,300+ stores

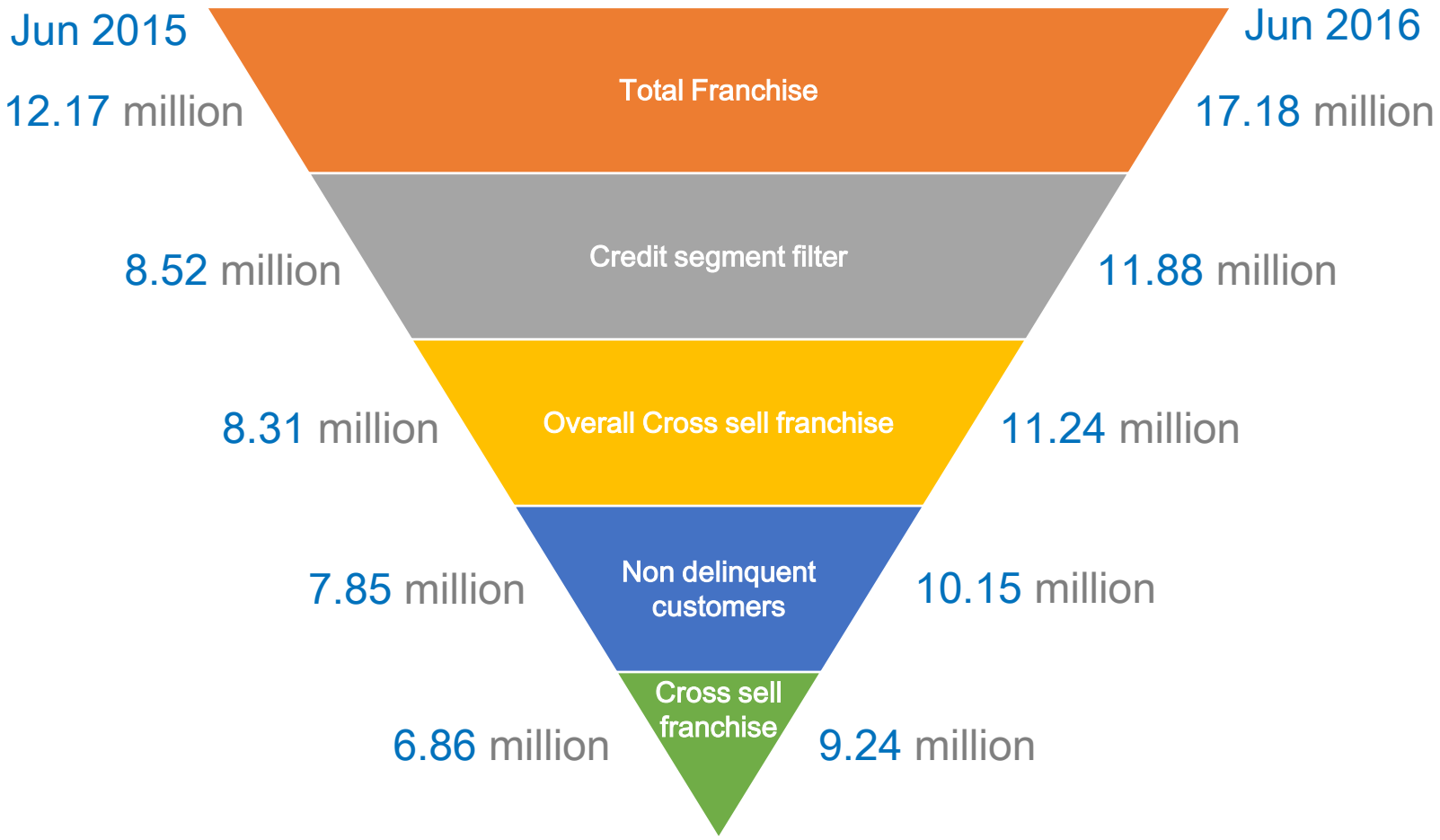
[1] Not Annualised

EXECUTIVE SUMMARY (CONTD.)

SME Business	• Focused on high net worth SMEs with an average annual sales of ₹ 25 Crores with established financials & demonstrated borrowing track records • Offer a range of working capital & growth capital products and mortgage (Loan against property, Lease Rental Discounting & Home Loans) products to SME & self employed professionals • Offer full range of growth & working capital lending products to professionals (Doctors & CA's) • Built a dedicated SME Relationship Management channel to provide wide range of cross sell products to our SME franchise • Mortgage product strategy is to sell to existing customers only
Commercial business	• Offer wholesale lending products covering short, medium and long term needs of Auto component & light engineering vendors and financial institutions in India • Offer a range of structured products collateralized by marketable securities or mortgage
Treasury	• Strategy is to create a balanced mix of wholesale and retail borrowings • Current mix of banks, money markets and deposits is at 45:48:07
Credit Quality	• Gross NPA of 1.47% & Net NPA of 0.41%. During the quarter ended 30 June 2016, as required by RBI guidelines, the Company has moved its NPA recognition policy from 150 days overdue to 120 days overdue. Comparable Gross and Net NPA at 150 days stood at 1.25% and 0.30% respectively • Provisioning coverage ratio improved from 68% in Q1 FY16 to 73% in Q1 FY17
Credit Rating	• Credit rating of AAA/Stable by India Ratings, AA+/Positive by CRISIL & AA+/Stable by ICRA • Credit rating of A1+ for Short term debt program by CRISIL & ICRA • Fixed deposit program has been rated FAAA/Stable by CRISIL and MAAA/Stable by ICRA

* Source: Internal research - (chart depicts finance market size & our market share)

CUSTOMER FRANCHISE



New to Bajaj customers

Q1 FY16	Q2 FY16	Q3 FY16	Q4 FY16	Q1 FY17
7,86,577	6,34,818	10,25,949	7,21,824	11,10,102

Growing customer cross sell franchise by 25-30% every year…

KEY PORTFOLIO METRICS

Business Segment	AUM (₹ Crores)					Deployments	IRR (%)	Ticket (Lacs)	Quarter gone by
	Q2 FY16	Q3 FY 16	Q4 FY 16	Q1 FY17	YoY	Q1 FY17	Range		
1. 2W & 3W finance	3,387	3,647	3,773	4,080	23%	1,059	22.0-28.0	0.56	
2. Consumer durable finance	4,916	5,935	5,556	6,783	32%	5,020	24.0-26.0	0.28	
3. Digital product finance	409	587	637	816	130%	646	24.0-26.0	0.26	
4. Lifestyle product finance	275	366	379	386	83%	235	24.0-26.0	0.49	
5. Personal loans cross sell	3,058	3,524	3,860	4,392	60%	997	16.0-33.0	1.41	
6. Salaried personal loans	2,529	2,921	2,614	2,764	24%	656	14.0-16.0	5.04	
7. Salaried – Home Loans	1,096	1,339	1,477	1,786	90%	386	9.6-10.5	33	
8. Business loans (BL)	3,320	4,146	4,309	4,866	59%	1,344	17.0-20.0	14	
9. Professional loans	845	985	1,112	1,265	72%	371	14.0-17.0	12	
10. Loan against property (LAP)	8,985	8,890	8,332	8,661	3%	1,132	11.0-12.0	147	
11. Self employed – Home Loans	3,094	3,238	3,089	3,286	7%	557	10.0-10.7	71	
12. Loan against securities	1,704	2,352	2,659	2,975	96%	-	10.8-12.0	-	
13. Vendor financing	1,322	1,472	1,394	1,545	16%	-	10.0-12.5	-	
14. Financial institutions group	60	236	429	433	-	20	10.5-12.0	-	
15. Corporate finance	247	314	338	459	-	120	10.5-12.0	-	
16. Infrastructure lending	355	312	311	306	(23%)	-	NA	NA	**
17. RM Business (LAP, HL, BL)	1,572	1,844	1,887	2,136	57%	504	10.0-12.0	70	
18. Rural lending	661	1,159	1,339	1,688	223%	795	14.0-35.0	-	
19. BFS Direct (HL, PL)	-	-	576	721	-	244	-	-	

** Paused

STRONG DISTRIBUTION REACH

Geographic Presence (No. of branches)					
Business Line	FY13	FY14	FY15	FY16	FY17*
Consumer presence	91	114	161	193	272
SME presence	57	80	119	262	283
Rural presence	-	70	232	397	481
Total Bajaj Finance presence	91	184	393	590	753

Active Distribution (Points of sale)					
Business Line	FY13	FY14	FY15	FY16	FY17*
CD retailer	3,500+	4,900+	7,000+	9,400+	10,800+
Digital retailer	850+	1,600+	2,650+	5,200+	7,000+
Lifestyle retailer			1,150+	3,200+	2,500+
Retail EMI retailer	-	-	-	-	2,400+
2W–Dealer/ASCs	2,600+	2,600+	3,000+	3,000+	3,100+
SME – DSA	400+	700+	700+	800+	800+
Rural retailer	-	-	1,500+	3,200+	3,300+
Total reach	7,000+	9,000+	16,000+	24,000+	29,000+

# of New loans disbursed ('000s)					
Business Line	FY13	FY14	FY15	FY16	FY17*
Consumer Loans	1,908	2,450	3,623	4,690	1,806
Lifestyle & Digital	37	109	374	723	292
Personal Loans	116	137	206	299	83
2W & 3W	736	651	561	626	187
Rural Finance	-	22	131	448	159
SME/Commercial	11	20	30	48	14
Total	2,808	3,389	4,924	6,834	2,541

Assets Under Management (₹ Crores)						
Business Line	FY13	FY14	FY15	FY16	FY17*	Mix
Consumer Lending	7,138	9,328	13,202	18,996	21,933	44.2%
SME Lending	7,750	12,009	15,551	18,692	19,986	40.3%
Commercial Lending	2,629	2,674	3,324	5,202	6,001	12.1%
Rural Lending	-	50	333	1,339	1,688	3.4%
Total AUM	17,517	24,061	32,410	44,229	49,608	100%

* As at/ Year to date for the quarter ending

KEY PERFORMANCE HIGHLIGHTS FOR Q1 FY17

- Customers acquired during Q1 FY17 ↑ 48% to 25,40,540 from 17,19,125 in Q1 FY16
- Assets under Management (AUM) as of 30 June 2016 was ↑ 40% to ₹ 49,608 crore from ₹ 35,557 crore as of 30 June 2015
- Total income for Q1 FY17 ↑ 39% to ₹2,301 Crores from ₹1,656 Crores in Q1 FY16
- Profit before tax for Q1 FY17 ↑ 55% to ₹652 Crores from ₹422 Crores in Q1 FY16
- Profit after tax for Q1 FY17 ↑ 54% to ₹424 Crores from ₹276 Crores in Q1 FY16
- Loan losses and provisions for Q1 FY17 ↑ 75% to ₹180 Crores as against ₹103 Crores in Q1 FY16. The Company continued to strengthen its provisioning policy. During the quarter, the Company made an additional provision of ₹19.1 crore in its Mortgage portfolio. Adjusted for this, loan losses and provisions have grown by 56%
- Return on Assets and Return on Equity for Q1 FY17 were 0.9% and 5.5% (not annualized) respectively
- Gross NPA and Net NPA as of 30 June 2016 stood at 1.47% and 0.41% respectively. The provisioning coverage ratio stood at 73% as of 30 June 2016. The Company continues to provide for loan losses in excess of RBI requirements.
- During the quarter ended 30 June 2016, as required by RBI guidelines, the Company has moved its NPA recognition policy from 150 days overdue to 120 days overdue. The comparable Gross and Net NPA at 150 days stood at 1.25% and 0.30% respectively
- Capital adequacy ratio (including Tier-II capital) as of 30 June 2016 stood at 17.82%. The Tier–I capital stood at 14.81%. The Company continues to be well capitalized to support its growth trajectory

SUMMARY FINANCIAL STATEMENT

Financials snapshot	Q1'17	Q1'16	YoY	FY'16	FY'15	YoY	₹ in Crores FY'14
Assets under finance (AUF)	47,923	34,095	40%	47,923	34,095	40%	22,971
Assets under management (AUM)	49,608	35,557	40%	49,608	35,557	40%	24,061
Total Interest & fee Income	2,301	1,656	39%	7,384	5,418	36%	4,073
Interest expenses	883	677	30%	2,927	2,248	30%	1,573
Net Interest Income (NII)	1,418	979	45%	4,457	3,170	41%	2,500
Operating Expenses	586	454	29%	1,949	1,428	36%	1,151
Loan Losses & Provision	180	103	75%	543	385	41%	258
Profit before tax	652	422	55%	1,965	1,357	45%	1,091
Income tax	228	146	56%	686	459	49%	372
Profit after tax	424	276	54%	1,279	898	42%	719

Ratios	Q1'17	Q1'16	FY'16	FY'15	FY'14
Total Opex to NII	41.3%	46.4%	43.7%	45.1%	46.0%
Total Opex to Total Income	25.5%	27.4%	26.4%	26.4%	28.3%
Loan loss to AUF*	0.4%	0.3%	1.1%	1.1%	1.1%
Return on Average AUF*	0.9%	0.9%	3.5%	3.3%	3.6%
Earning per share - Basic (Rs.) *		54.3	242.3	179.9	144.8
Return on Average Equity *	5.5%	4.9%	20.9%	20.4%	19.5%

* Not annualized

MANAGEMENT DISCUSSION

Market Assessment :

- Economic indicators

Parameters	April '16	May'16	Jun'16
IIP	-1.3%	1.2%	-
CPI	5.39%	5.76%	5.77%
WPI	0.34%	0.79%	1.62%

- Consumer durables and Consumer non-durables have a recorded growth of 6% and 2.2% percent respectively, with the overall growth in Consumer goods being 1.1 % in May 2016
- As of June 24, 2016 projected gross bank credit of scheduled commercial banks amounted to ₹72.56 lac Crs registering an increase of 9.43% during the year as against an increase of 8.78% in the previous year.
- As per RBI's 'Financial Stability Report' published in June 2016, Gross non-performing advances (GNPAs) of Scheduled Commercial Banks as a percentage of gross advances increased to 7.6% from 5.1% between September 2015 and March 2016 after the Asset Quality Review (AQR). Stressed advances ratio increased to 11.5 % from 11.3% during the same period. PSBs recorded the highest level of stressed assets at 14.5% followed by Private banks and Foreign banks at 4.5%.

Auto sector (Q1 FY17)

	Overall	PV	CV	2W	3W	Scooters	Motorcycles
YoY growth %	11.74%	6.66%	12.99%	14.26%	23.39%	27.12%	8.87%

MANAGEMENT DISCUSSION (CONTD.)

2 Wheeler & 3 Wheeler Financing Disbursed: 1,059 Crs (51% YoY)	• 2 Wheeler financing business disbursed 175K accounts in the quarter (30% YoY) • 3 Wheeler financing business disbursed 12K accounts in the quarter (106% YoY) • 2 Wheeler financing penetration of Bajaj Auto's domestic 2 Wheeler sales improved to 32.3% from 28.1% in Q1 FY16 • 3 Wheeler financing penetration of Bajaj Auto's domestic 3 Wheeler sales in Q1 FY17 improved to 17% from 15.4% in Q1 FY16

Consumer Durables Disbursed: 17.75 lac accounts (Growth: 37% YoY)	• CD had a good summer with highest ever disbursement of #7.47 lac in May 2016 • Business did 6.28 lac AC's in Q1 FY17 which was a growth of 55% over previous year • Launched 76 new locations in Q1 FY17 • Retailer finance business, which is key to consumer durable business ecosystem disbursed 1,655 Crs. (49% YOY)

Digital Product Finance Disbursed: 244 K accounts (Growth: 154% YoY)	• Business had the best ever quarter led by higher penetration & new tie-ups • Business has crossed a big milestone of 1 lac accounts in June 2016 • Geographic presence increased from 75 to 100 cities. New location contribution was 11% • Launched bundled financing product for Reliance Jio

MANAGEMENT DISCUSSION (CONTD.)

Lifestyle Finance Disbursed: 47 K accounts (Growth: 70% YoY)	• Life care finance segment delivered about 3.9 K cases in Q1 FY17. Dental care was the largest contributor with 33% volumes followed by Stem cell & Hair restoration • Business continues to expand into life care financing space. It added more than 450 clinics across India in Q1 FY17 taking the total count of clinics to 860 • Overall furniture sales remains very slow. Furniture contribution was 65% in Q1 FY17 • Structured a strategic partnership with Future Group for HomeTown

REMI Disbursed: 6.8K accounts Avg. ticket size - 10K 6.1 MM CIF	• EMI financing enabled in apparels (Benetton, US Polo, Arrow, Pepe), footwear (Reebok, Puma), eyewear (GKB, Lawrence & Mayo), travel (Cox & Kings) & power backup (Sukam) • Currently in 15 cities with presence in 2,400+ stores • Business announced a strategic EMI financing partnership with Future group. It now offers EMI financing options across various formats of Future group including Big Bazaar, Food Bazaar, Central, Brand Factory, easyday, Foodhall, fabfurnish.com etc. Pioneered financing in groceries and apparels in India
Personal Loan Cross Sell Disbursed: 945 Crs (Growth: 49% YoY)	• Loan on phone model (TBPL) scaled up – Approval in 10 mins and loan disbursal through paperless process. 120 Crs disbursal in Q1 FY17 • Business invested in analytics & technology capabilities of geo spatial mapping & campaign management tools which will improve cross sell efficiency

MANAGEMENT DISCUSSION (CONTD.)

Urban Gold Loans	
Disbursed: 82 Crs	• Business crossed 100 Crs AUM • Currently present in 60 urban branches • New streams of revenue in terms of fee income & insurance cross sell initialized • New capabilities are being built to reduce customer TAT and provide flexibility of repeat transactions

Salaried Personal Loans	
Disbursed: 665 Crs (Growth: 21% YoY)	• Expanded presence to 72 cities with addition of 17 new locations in Q1 FY17 • Business is facing intense competition from private sector banks who are offering personal loans at low rates • Pure Flexi product has started gaining traction – only NBFC to offer this in India

Salaried Home Loans	
Disbursed: 393 Crs (Growth: 152% YoY)	• Increased traction on retail business. Currently present in 20 locations • Strengthened customer proposition with offering like EMI Holiday & Pure-Flexi • Streamlined & simplified processes to enhance customer experience

MANAGEMENT DISCUSSION (CONTD.)

Ecommerce	
	• Ecommerce Consumer Finance was launched with Flipkart in the quarter gone by • Currently financing on Flipkart is available on brands like Apple, Mircromax, LG, LeEco etc.

EMI Cards	
Sourced: 727 K	• 6.1 MM Cards In Force • NTB (New To Bajaj) program for non-financed customers sourced 10k+ cards in the initial 2 months. Journey has been reversed from Loans to Cards to Cards to Loans with this initiative

Rural Lending Consumer Business	
RB2B: 1.31 lac accounts RB2C: 317 Crs	• Business has given good dividends with implementation of Break to Grow strategy • Now present in 445 location with 109 branches and 336 spokes. Launched 19 new branches and 22 spokes in Q1 FY17 in Tamil Nadu and Andhra Pradesh • Plans to launch more branches in Andhra Pradesh in Q2 FY17 • Business is being run with close monitoring and precautions in view of the current monsoon and its possible impact.

MANAGEMENT DISCUSSION (CONTD.)

MSME Rural	
Disbursed 38.5 Crs	• Realigning business strategy towards higher proportion of secured lending • Tightened unsecured loan policy due to stress in agri business

Business Loans	
Disbursed: 1170 Crs (Growth: 40% YoY)	• Business continues to grow well with strong portfolio quality • 'Break 2 Grow' strategy is helping to diversify & balance risk across portfolio • Pure Flexi is shaping out to be strong product proposition for customers. It has delivered 131 Crs of business in the quarter gone by

Professional Loans	
Disbursed: 375 Crs (Growth: 59% YoY)	• Doctor loan EMI card being introduced to increase engagement with doctors • 'Mortgage to Doctors' initiated as a separate structure to fulfill mortgage needs of doctors

MANAGEMENT DISCUSSION (CONTD.)

Loan Against Property	
Disbursed: 864 Crs (De-growth of 26% YoY)	• Homogeneity of SME customers across secured & unsecured businesses have enabled to reengineer existing processes and provide a better proposition for customers • 100% D2C transition has lowered business volume

Home Loans – Self employed	
Disbursed: 423 Crs (Growth: 6% YoY)	• Homogeneity of SME customers across secured & unsecured businesses have enabled to reengineer existing processes and provide a better proposition for customers (0/1 MOB) • 100% D2C transition lowered business volumes • 'Developer Finance' business has been initiated as a separate business

Loan Against Securities	
Net AR addition: 284 Crs	• A very strong quarter for LAS. Business with highest ever monthly AR growth of 354 Crs • Disbursement under B2B2C Framework crossed 200 Cr along with addition of 200 clients • Deepening relationships with leading Broking Houses

MANAGEMENT DISCUSSION (CONTD.)

ACMF	
Net AR addition: 25 Crs	• ACMF book grew 16% YoY in Q1 FY17 • Elevated competitive intensity seen from major private/foreign banks due to improving credit profile of several auto ancillaries • Credit performance of portfolio continues to hold well

Corporate Finance, FIG & Light Engg.	
Disbursed 140 Crs	• AUM of nearly 900 Crs across these businesses within 1 year of launch • Good traction on new client acquisition.

Infrastructure Finance & CE	
	• Infra financing business continues to remain in pause mode due to sectoral stress • Outstanding portfolio of 306 Crs, of which 54 Crs has been provided for • Construction equipment finance business now has an outstanding of 38 Crs and is winding down as per plan

MANAGEMENT DISCUSSION (CONTD.)

Relationship Management Disbursed: 380 Crs (Growth: 38% YoY)	• Customer Lifecycle model being created to map customer lifecycle journey across life insurance, general insurance, loan products and investments. • Customer servicing done by RM's to increase engagement. Investment and wealth management products added to product suites
Fixed Deposits & IFA Addition of 665 Crs Total book: 2,924 Crs (Growth: 161% YoY)	• Fixed deposit program has been rated FAAA/Stable by CRISIL and MAAA/Stable by ICRA • Corporate Liabilities launched to service investment needs of large corporates • Online FD origination launched for existing customers • IFA channel now has 948 IFA's, added 216 in Q1 FY17. Total business of 114 Crs from this channel in Q1 FY17 spread across, Fixed Deposits, Lending & Mutual Funds.
Portfolio Metrics	• GNPA – 1.47% (120 dpd) as of 30 June 2016 as compared to 1.69% (150 dpd) last year • NNPA – 0.41% (120 dpd) as of 30 June 2016 as compared to 0.48% (150 dpd) last year • Provisioning coverage ratio stood at 73%. • As required by RBI guidelines, the Company has moved its NPA reporting from 150 days overdue to 120 days overdue. The comparable GNPA and NNPA at 150 days stood at 1.25% and 0.30% respectively

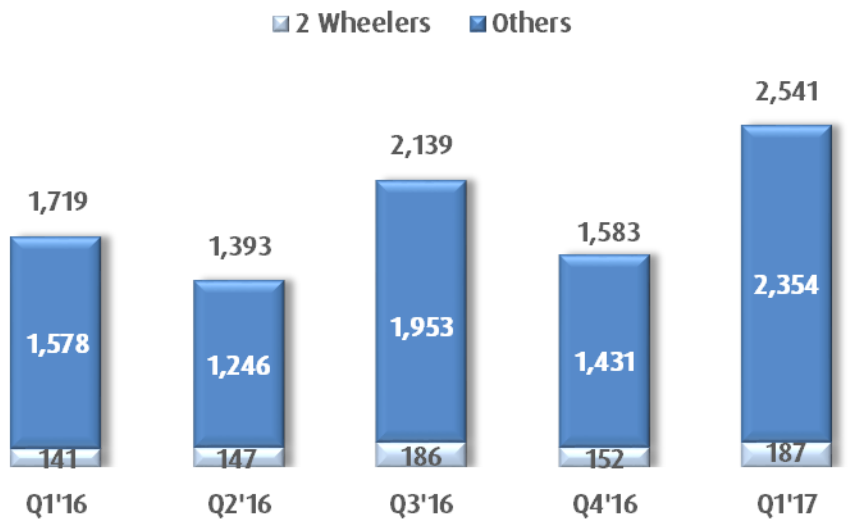
MANAGEMENT DISCUSSION (CONTD.)

Interest Cost	• Interest cost for the company continues to remain significantly lower amongst its NBFC peers • Borrowing mix - 45:48:07 between banks, money markets and deposits • Credit rating of AAA/Stable by India Ratings (Fitch), AA+/Positive by CRISIL & AA+/Stable by ICRA • Credit rating of A1+ for Short term debt program by CRISIL & ICRA

FINANCIAL PERFORMANCE TRENDS – Q1 FY17

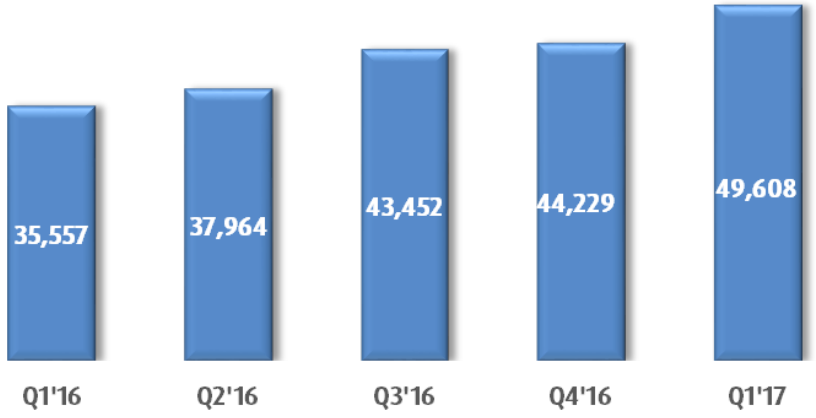
of Loans Disbursed ('000)

↑ 48% YoY



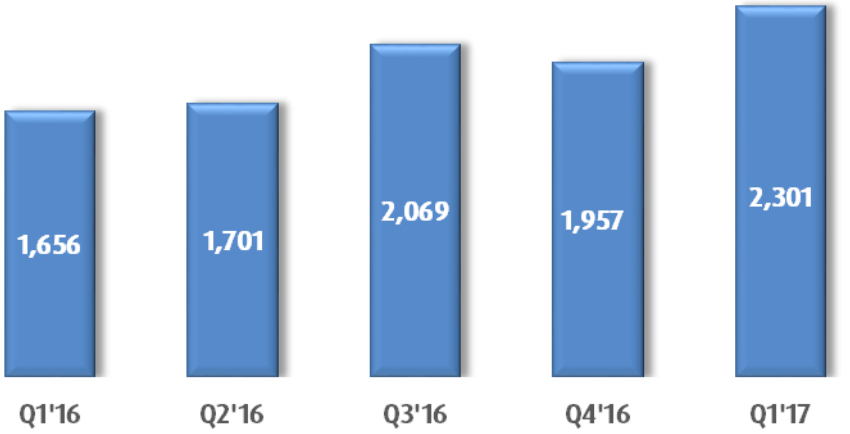
AUM (₹ Crore)

↑ 40% YoY



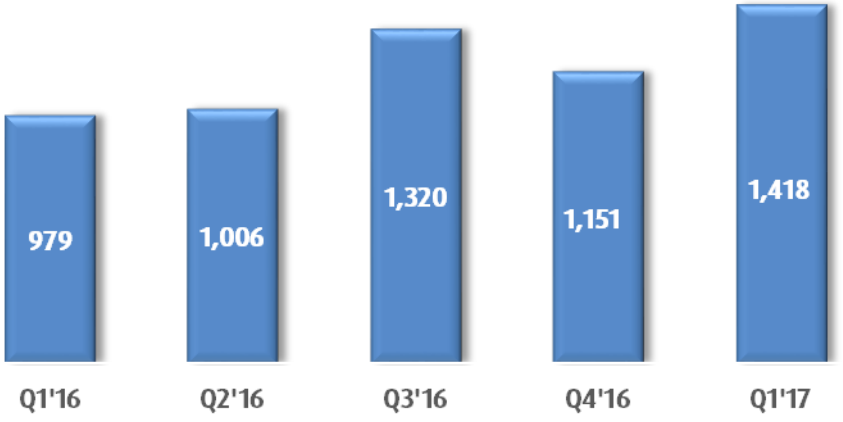
Revenue (₹ Crore)

↑ 39% YoY



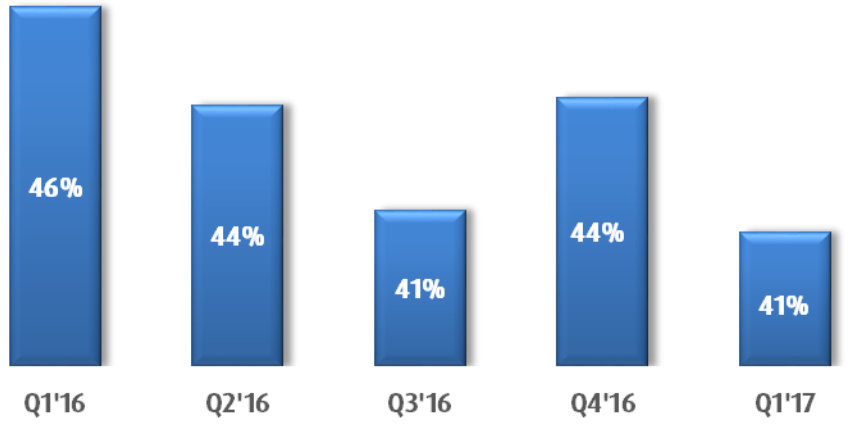
Net Interest Income (NII) (₹ Crore)

↑ 45% YoY



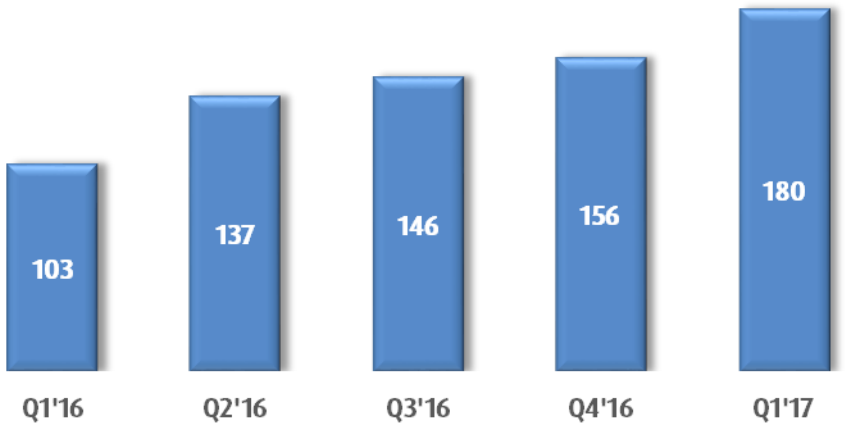
FINANCIAL PERFORMANCE TRENDS – Q1 FY17

Operating expenses % of NII

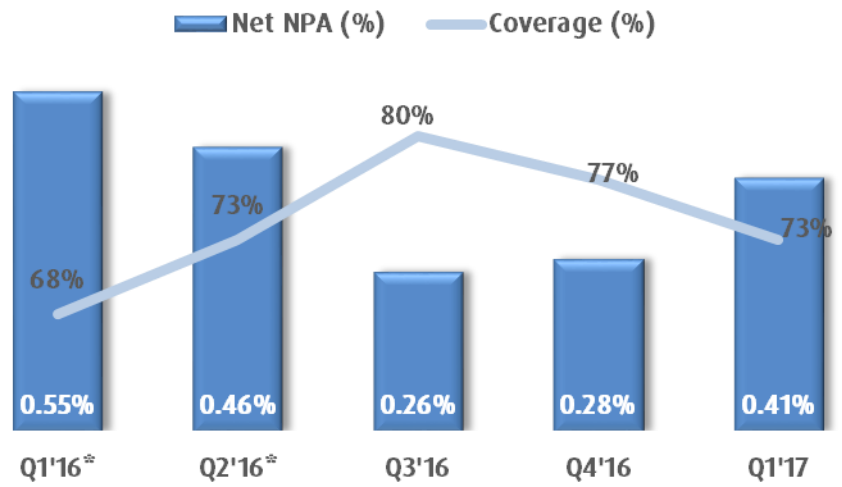


Loan loss provision (₹ Crore)

↑ 74% YoY

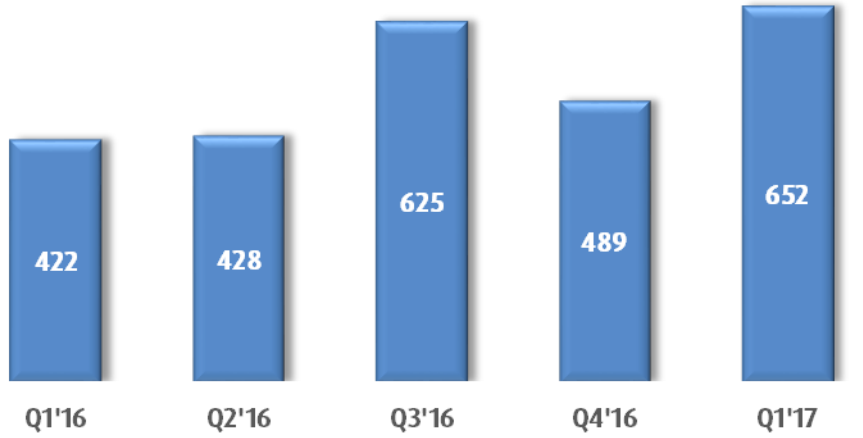


Net NPA & Provisioning coverage*



Profit Before Tax (₹ Crore)

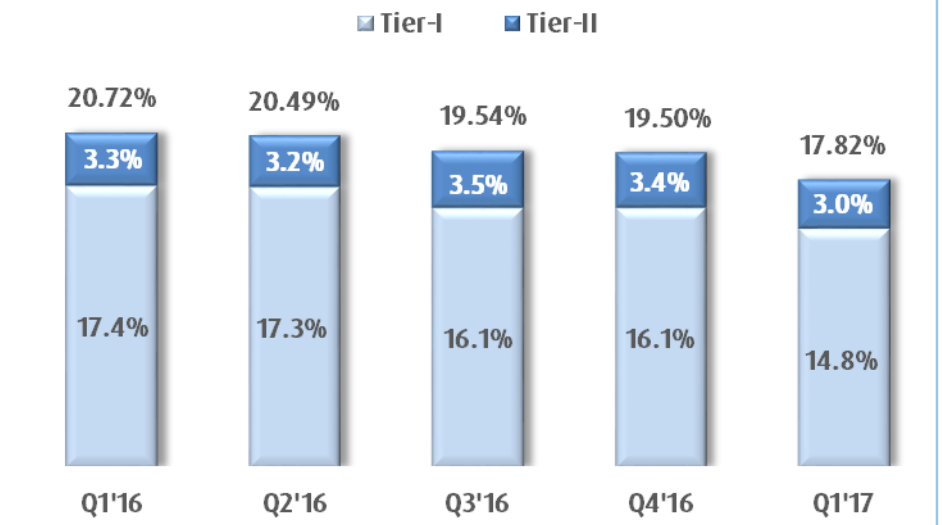
↑ 55% YoY



*The net NPA & provisioning coverage numbers for Q1 FY17 are at 120 days over-dues while the same for previous quarters are at 150 days over-due.

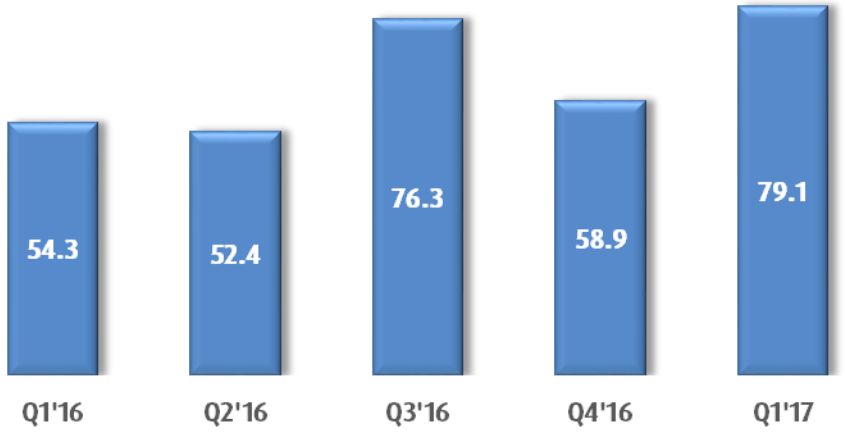
FINANCIAL PERFORMANCE TRENDS – Q1 FY17

Capital adequacy ratio

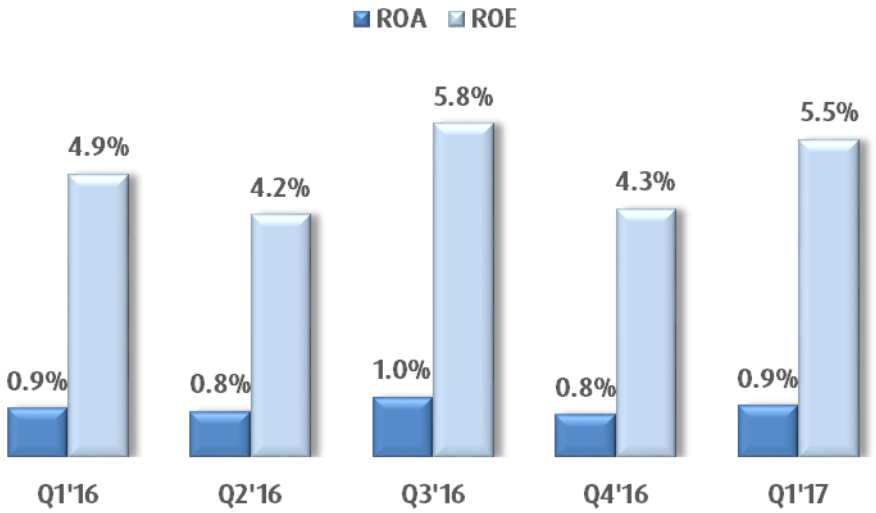


Earnings per share – Basic (₹)

↑ 46% YoY

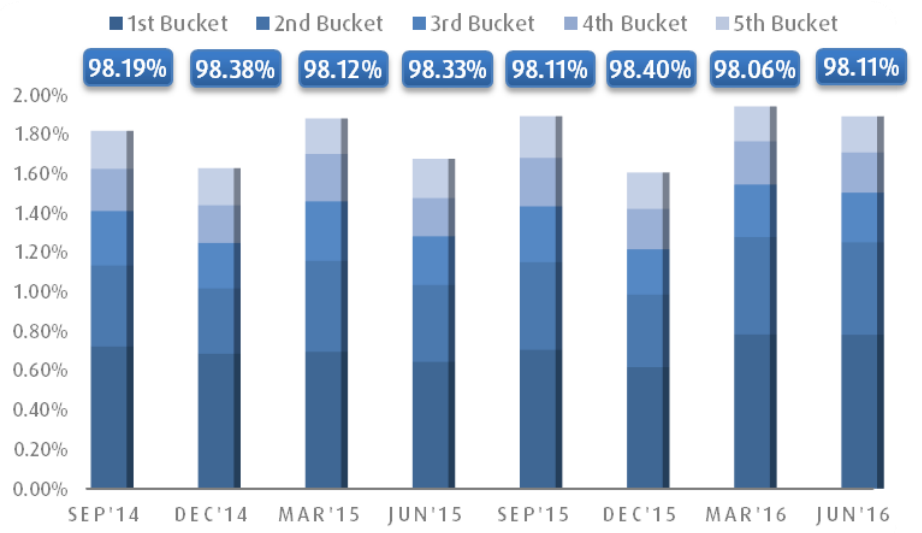


Return on avg. assets under finance & Equity

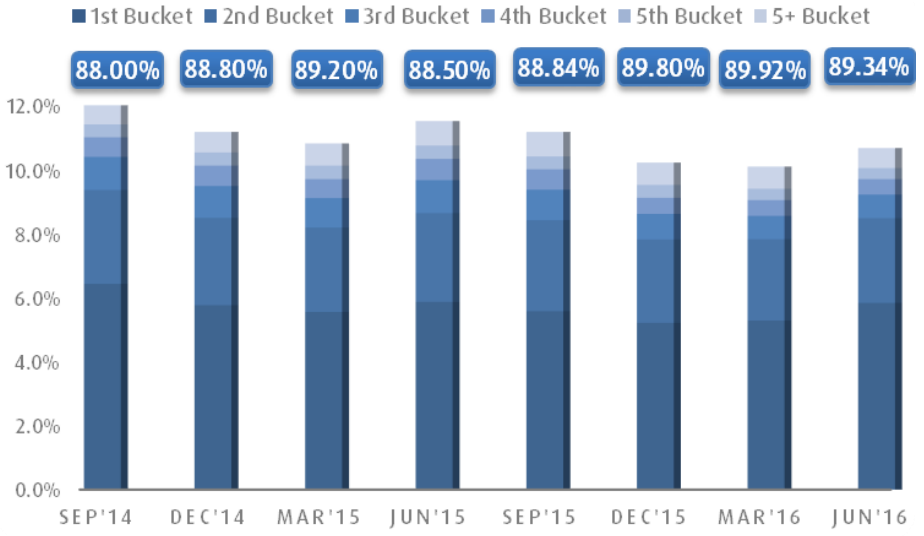


CREDIT QUALITY – PORTFOLIO COMPOSITION

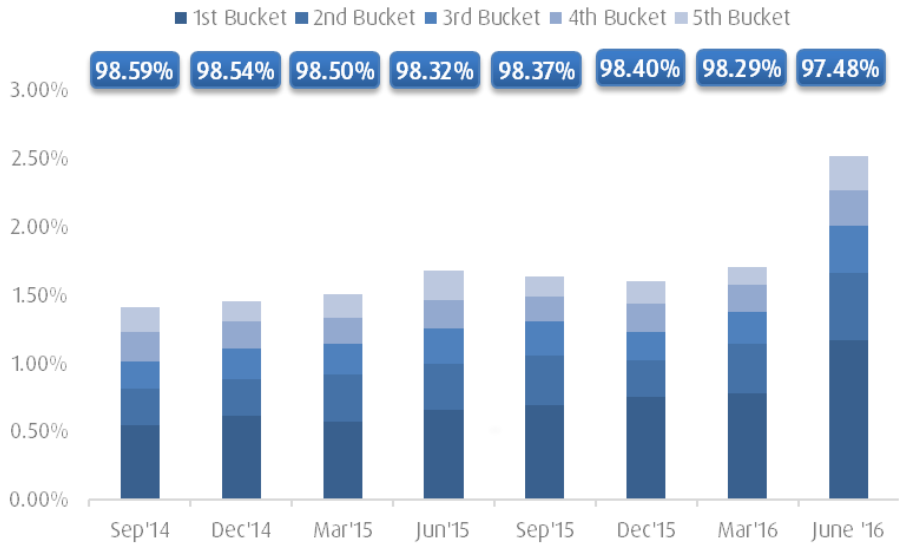
Consumer durable loan portfolio



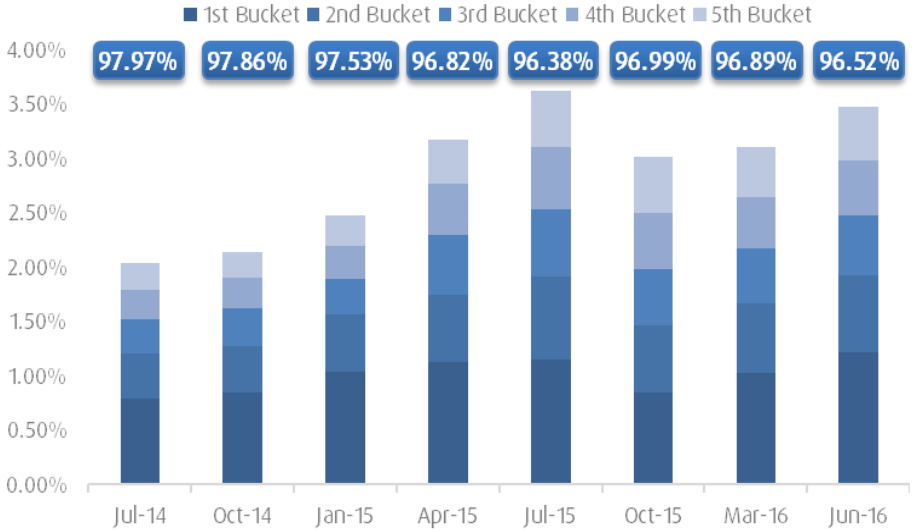
Two & Three wheeler loan portfolio



Lifestyle finance loan portfolio



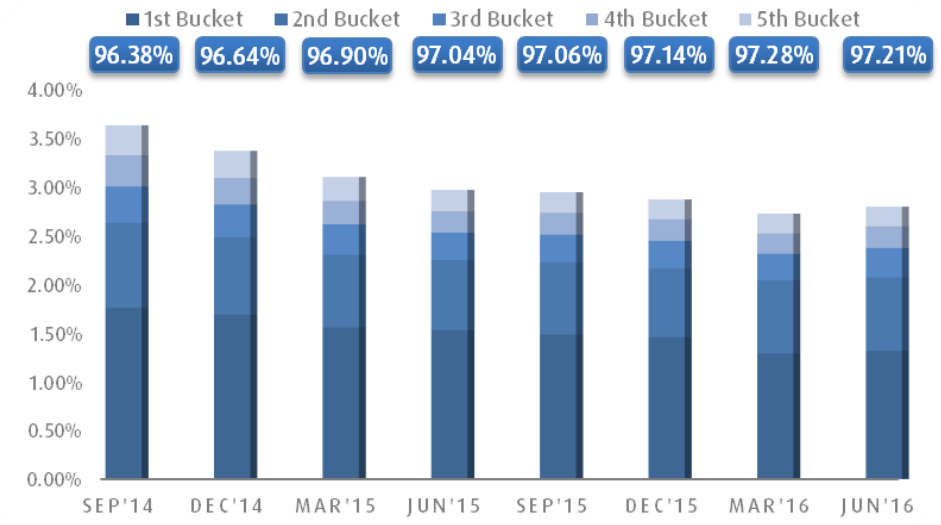
Digital product finance loan portfolio



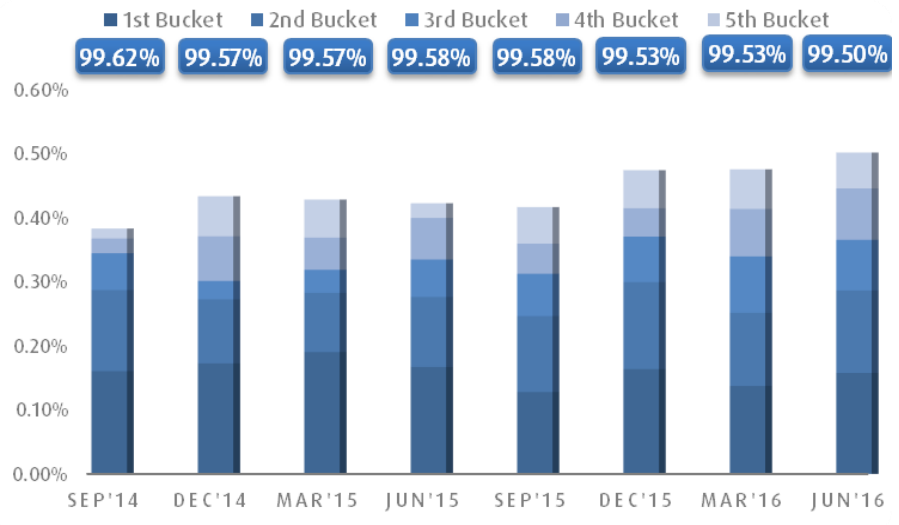
Legends indicate customers who are current/ no dues as of the month.

CREDIT QUALITY – PORTFOLIO COMPOSITION

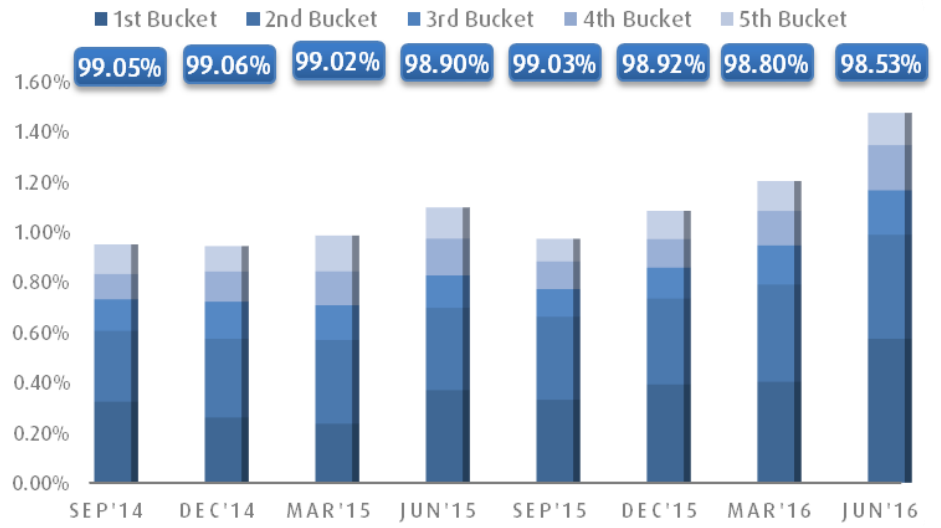
Personal loan cross sell portfolio



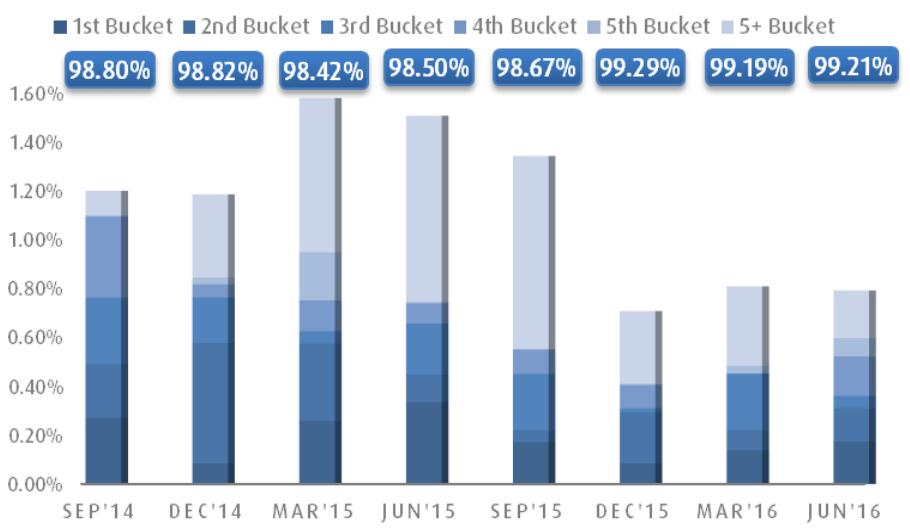
Salaried personal loan portfolio



Small business loan portfolio



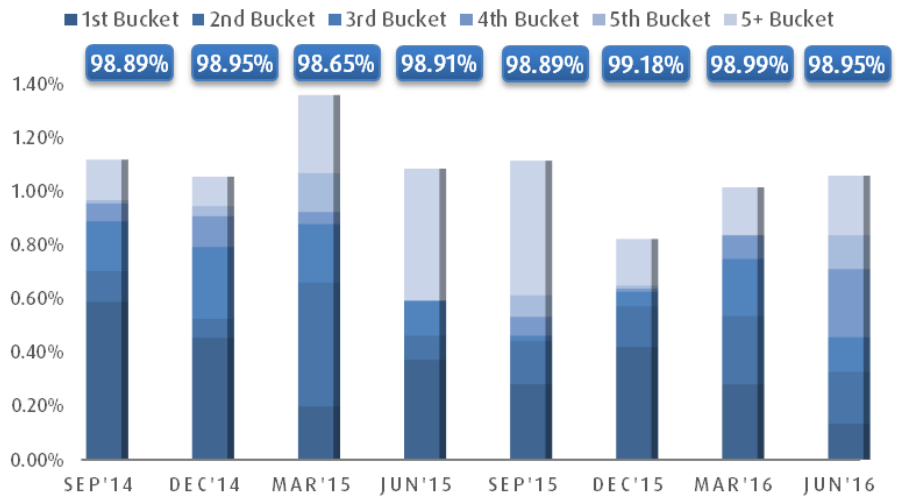
Loan against property portfolio



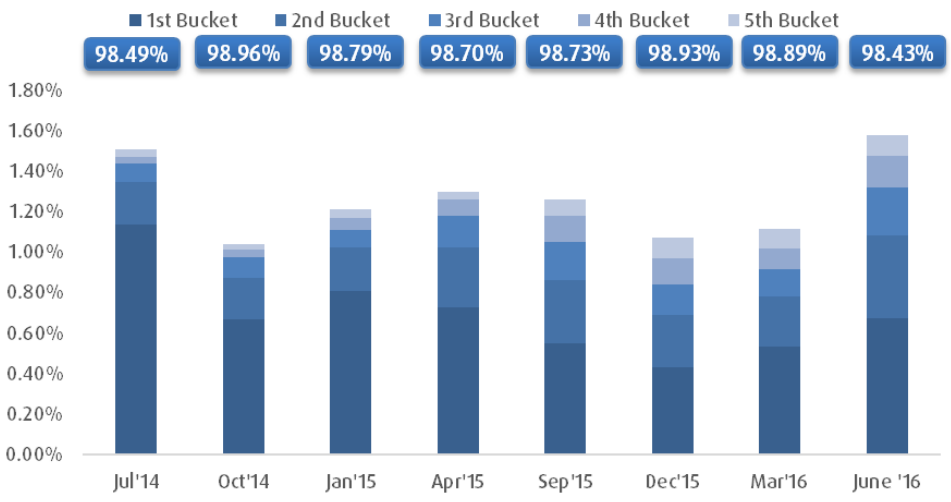
Legends indicate customers who are current/ no dues as of the month.

CREDIT QUALITY – PORTFOLIO COMPOSITION

Home loans portfolio



Rural Lending portfolio



Legends indicate customers who are current/ no dues as of the month.

CREDIT QUALITY – PROVISIONING COVERAGE (120 DPD)

	Business Segment (Values in ₹ Crs)	AUM Q1 FY17	GNPA	NNPA	PCR (%)	GNPA (%)	NNPA (%)		Remarks
1.	2W & 3W finance	4,080	191	59	69%	4.69%	1.50%		Repossessable asset
2.	Consumer durable finance	6,783	115	9	93%	1.80%	0.14%		
3.	Digital product finance	816	13	2	85%	1.61%	0.24%		
4.	Lifestyle product finance	386	4	1	81%	0.91%	0.17%		
5.	Personal loans cross sell	4,392	104	7	93%	2.32%	0.17%		
6.	Salaried personal loans	2,764	22	3	86%	0.79%	0.11%		
7.	Salaried – Home Loans	1,786	2	2	7%	0.14%	0.13%		1.25 X property cover
8.	Business loans (BL)	4,866	86	15	83%	1.75%	0.30%		
9.	Professional loans	1,265	8	1	82%	0.60%	0.11%		
10.	Loan against property (LAP)	8,661	85	49	42%	1.03%	0.60%		1.5 X property cover
11.	Self employed – Home Loans	3,286	42	29	31%	1.72%	1.19%		1.4 X property cover
12.	Loan against securities	2,975	0	0	-	0.00%	0.00%		
13.	Vendor financing	1,545	0	0	-	0.00%	0.00%		
14.	Financial institutions group	433	0	0	-	0.00%	0.00%		
15.	Corporate finance	459	0	0	-	0.00%	0.00%		
16.	Infrastructure lending	306	11	8	21%	3.46%	2.74%		
17.	RM Business (LAP, HL, BL)	2,136	12	6	54%	0.62%	0.29%		

PCR – Provisioning Coverage Ratio

CREDIT QUALITY – PROVISIONING COVERAGE (150 DPD)

	Business Segment (Values in ₹ Crs)	AUM Q1 FY17	GNPA	NNPA	PCR (%)	GNPA (%)	NNPA (%)		Remarks
1.	2W & 3W finance	4,080	163	40	76%	4.00%	1.00%		Repossessable asset
2.	Consumer durable finance	6,783	93	4	95%	1.45%	0.07%		
3.	Digital product finance	816	9	1	90%	1.15%	0.12%		
4.	Lifestyle product finance	386	2	0	87%	0.64%	0.08%		
5.	Personal loans cross sell	4,392	94	4	96%	2.10%	0.08%		
6.	Salaried personal loans	2,764	20	2	88%	0.70%	0.08%		
7.	Salaried – Home Loans	1,786	2	2	7%	0.13%	0.12%		1.25 X property cover
8.	Business loans (BL)	4,866	77	12	84%	1.57%	026%		
9.	Professional loans	1,265	7	1	82%	0.57%	0.10%		
10.	Loan against property (LAP)	8,661	71	40	43%	0.86%	0.49%		1.5 X property cover
11.	Self employed – Home Loans	3,286	34	22	35%	1.42%	0.93%		1.4 X property cover
12.	Loan against securities	2,975	0	0	-	0.00%	0.00%		
13.	Vendor financing	1,545	0	0	-	0.00%	0.00%		
14.	Financial institutions group	433	0	0	-	0.00%	0.00%		
15.	Corporate finance	459	0	0	-	0.00%	0.00%		
16.	Infrastructure lending	306	11	8	21%	3.46%	2.74%		
17.	RM Business (LAP, HL, BL)	2,136	7	3	56%	0.34%	0.15%		

PCR – Provisioning Coverage Ratio

PR COVERAGE HIGHLIGHTS IN Q1 FY17

Bajaj to launch online consumer finance EMI

Geeta Nair

Pune, April 20: After credit cards and cash on delivery, here comes EMI to buy from online retailers. Sanjiv Bajaj, vice-chairman, Bajaj Finserv and Bajaj Finance, said the company is close to launching the product with a leading e-tailer. By choosing the EMI option, the buyers will be able to convert their purchase into a loan. This solution will go live in May, Bajaj said without naming the company.

This will expand the company's consumer finance business and will take it to the online market place while it will help the retailers reduce returns and the cost incurred on it, Bajaj said while speaking at the TiECon Pune 2016 in Pune recently.

By choosing the EMI option, the buyers will be able to convert their purchase into a loan

Bajaj participates in the lending business through its NBFC, Bajaj Finance Limited.

While there has been an explosion in the e-commerce space with the likes of Amazon, Flipkart and Snapdeal, Bajaj said India had less than 20 million credit card holders and the average limit on these cards are Rs 50,000. The cash on delivery model had grown the business dramatically but this had also led to a high return ratio of around 60% and his company will be taking this value proposition to them to use the EMI option, he said.

The company already has an EMI card product which enables them to offer instant loan sanctions. They had been building on these technologies to take their consumer finance business online. The company has innovated in the back end to reduce lending time using CIBIL data, algorithms and fraud detection capabilities to make sanctions in a few seconds to enable it to offer this EMI service online.

Publication date: April 21, 2016, The Financial Express
Article access: http://www.financialexpress.com/industry/banking-finance/bajaj-to-launch-online-consumer-finance-emi/240474/

PR COVERAGE HIGHLIGHTS IN Q1 FY17 (CONTD.)

Store credit card: Future Group teams up with Bajaj Finance

OUR BUREAU
Mumbai, June 21

In a bid to spur consumption through credit, the Future Group as entered into a strategic partnership with Bajaj Finance for easy EMIs to buy goods ranging from apparel and grocery to high-end consumer durables. Through a co-branded store card, the EMI financing scheme can be availed on a minimum invoice of ₹5,000, going up to ₹3 lakh, with a loan tenure ranging from three months to two years.

Future Group CEO Kishore Biyani said: "The next big wave of consumption in this country will happen through credit only. We have a vision to have one crore customers shopping for ₹1 lakh annually at our stores."

To begin with the facility for easy EMI be offered to existing EMI cardholders of Bajaj Finserv, which is being used across 17,500 stores. The co-branded store card with the same EMI facility will be launched in 45 days for customers of Future Group across all its store formats ranging from Big Bazaar to Central, Home Town and online platform FabFurnish.



Retail tie-up Bajaj Finance Vice-Chairman Sanjiv Bajaj Future Group CEO Kishore Biyani at a press conference in Muimbai on Tuesday PAUL NORONHA

Future Group had earlier tried to enter the consumer finance business through group company Future Capital, which it subsequently sold to US-based PE player Warburg Pincus. "We had attempted this consumer finance business but it was too early for us to enter and we had to sell it off.

"But now, by partnering with the Bajaj family, we expect this business to have the potential to become bigger," added Biyani.

Publication date: June 21, 2016, The Hindu Business Line
Article access: http://www.thehindubusinessline.com/companies/store-credit-card-future-group-teams-up-with-bajaj-finance/article8756704.ecees.com/industry/services/retail/bajaj-finance-future-group-to-provide-easy-emi-to-customers-on-groceries/articleshow/52853805.cms

AWARDS & ACCOLADES

- Bajaj Finance Limited has been ranked 12th ‘Best Company to Work For in India’ by the Great Places to Work Institute. It was also recognized as 2nd ‘Best Company to Work For in India’ under financial services sector, for the second year in a row by the Great Places to Work Institute

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BAJAJ FINANCE LIMITED

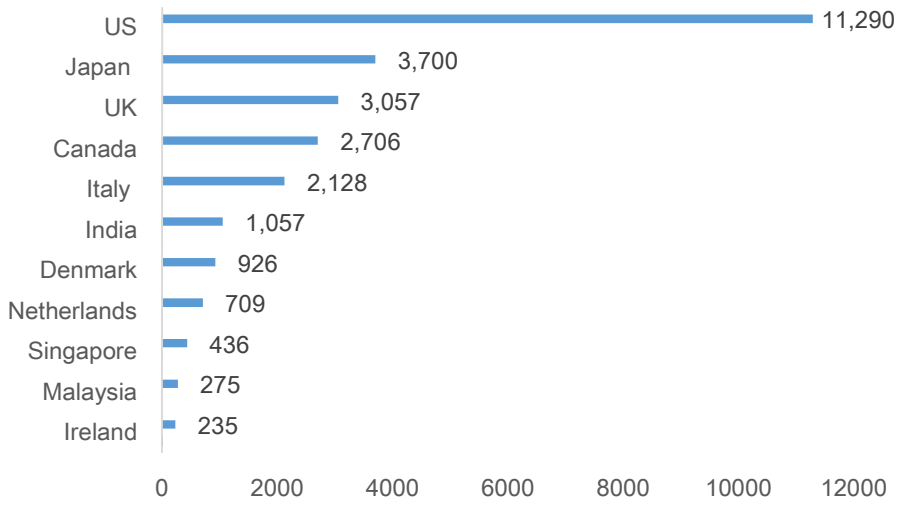
Q1 FY17 Presentation

THANK YOU

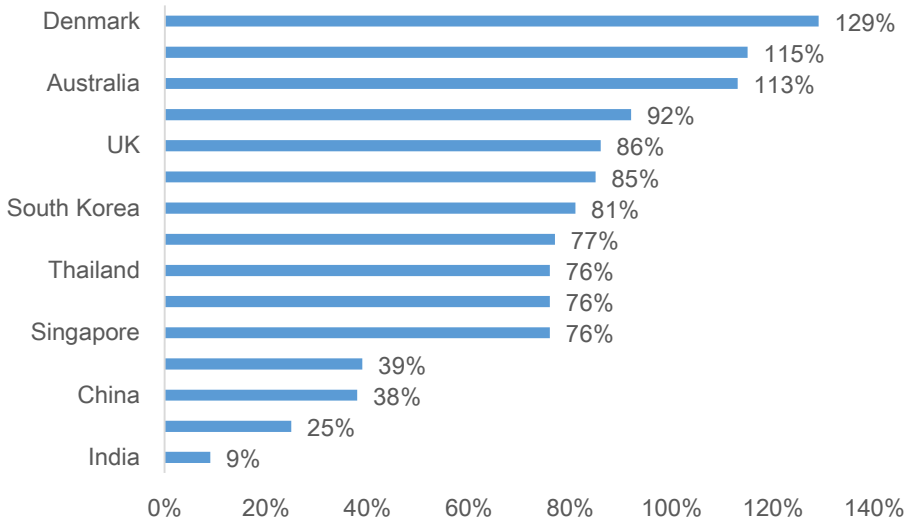
ANNEXURE

LENDING INDUSTRY OPPORTUNITY

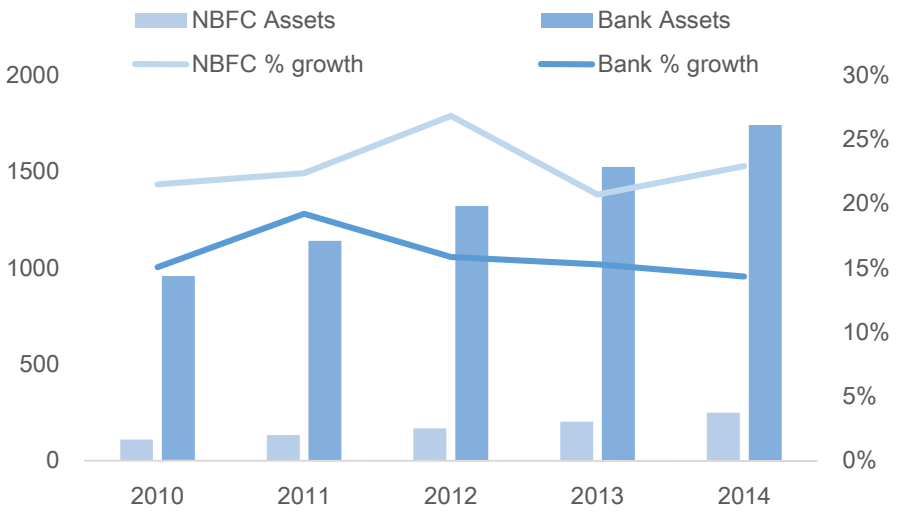
India vs. Advanced Economies – Bank Credit (US $ Bn)



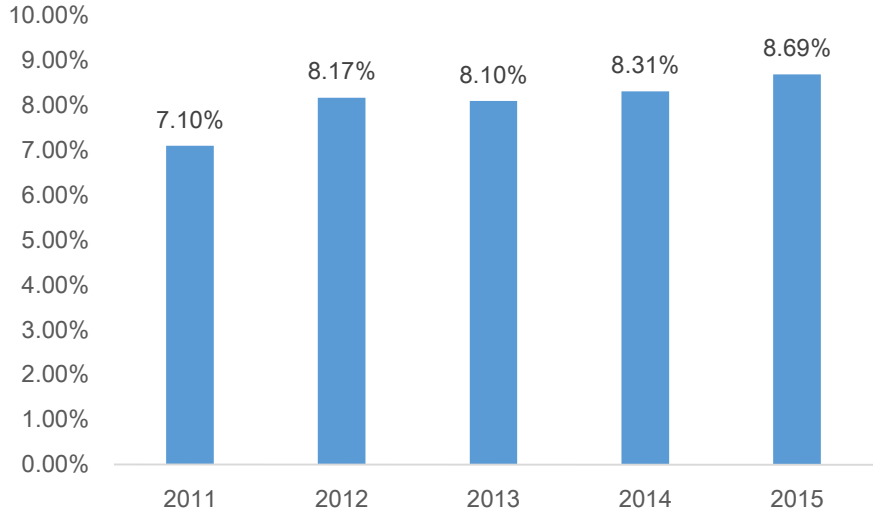
India vs. Advanced Economies - Household Debt/GDP (%)



India - Banks & NBFC Assets (US $



India – Household Debt/GDP (%)



* Source: Internal research, RBI reports, Bloomberg reports, Industry research reports

A FEW INITIATIVES IN THE LAST 24 MONTHS…

1. Low ticket high velocity collection capability (~250K accounts per month)
2. Work flow based underwriting for SME businesses on cloud.
3. Centre of Excellence for Analytics across Sales, Pricing, Risk, Marketing, Collection & Service
4. Direct cash collection model for unbanked rural customers
5. Flexi Loan to SME customers – Flexibility to prepay & withdraw
6. India's only E2E online salaried personal loan and business loan
7. Launched Retail EMI category
8. Strategic partnership with Future Group for EMI financing
9. EMI Financing option on Flipkart platform
10. 'Best Employer' awards by GPTW & Aon Hewitt
11. Launched MSME rural lending business
12. Co-branded EMI card with Vijay Sales
13. Co-branded EMI card with Ezone
14. Launched CD Mobile APP – Bajaj Finserv Experia

PRODUCT PER CUSTOMER (PPC)

Product per Customer (PPC) is a measure of cumulative products bought by a customer over his/her lifetime.

Consumer

Products offered	PPC Benchmark	PPC (12 MOB)	PPC (18 MOB)	PPC (24 MOB)
16	3	2.55*	2.72*	2.88*

SME

Products offered	PPC Benchmark	PPC (12 MOB)	PPC (18 MOB)	PPC (24 MOB)
14	5	3.75*	3.69*	3.76*

Product offerings – Consumer

Loan Products

- Consumer durable finance, Digital finance, Lifestyle finance, Personal Loan, Salaried Personal Loans, Salaried Home Loans

Fee Products

– EMI Card, Credit Card, EMI Card – Preferred, Life Insurance, Health Insurance, Mutual Fund, Fixed Deposit, Extended Warranty Insurance, Credit Vidya, Retail Financial Fitness report

Product offerings – SME

Loan Products

– Business loans, Loan against property, Home loans, Construction equipment loans, Loan against securities

Fee Products

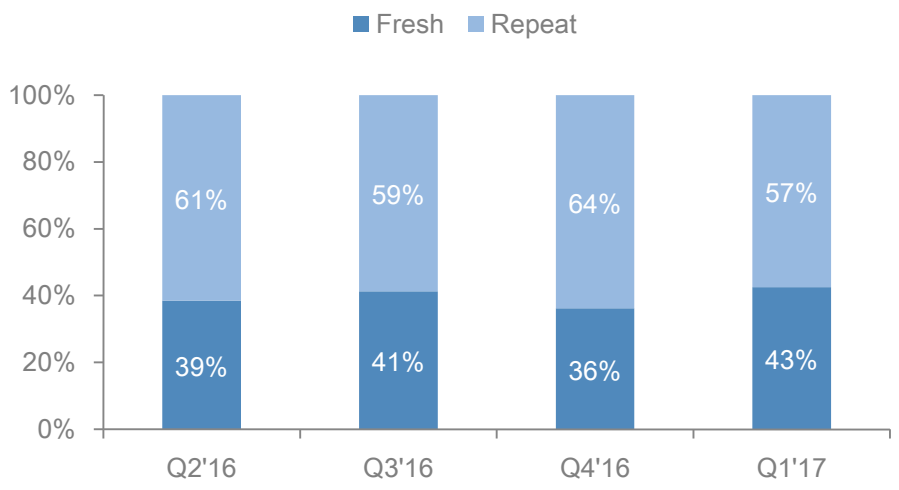
– EMI Card, EMI Card – Preferred, Life Insurance, Health Insurance, Mutual Fund, CRISIL ratings, Property search services, Property fitness report, SME financial fitness report

* Base product is included in the PPC calculation
* PPC does not include short tenor & renewable loans (viz. PO, LAS & Retailer finance), TW, infra and Rural lending sourcing

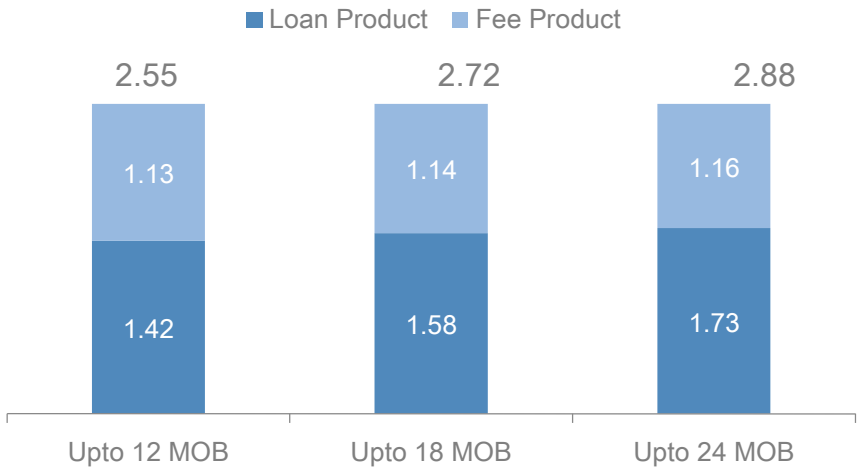
PRODUCT PER CUSTOMER (PPC)

Consumer

Disbursed Value (` Crore) – Fresh v/s Repeat Mix

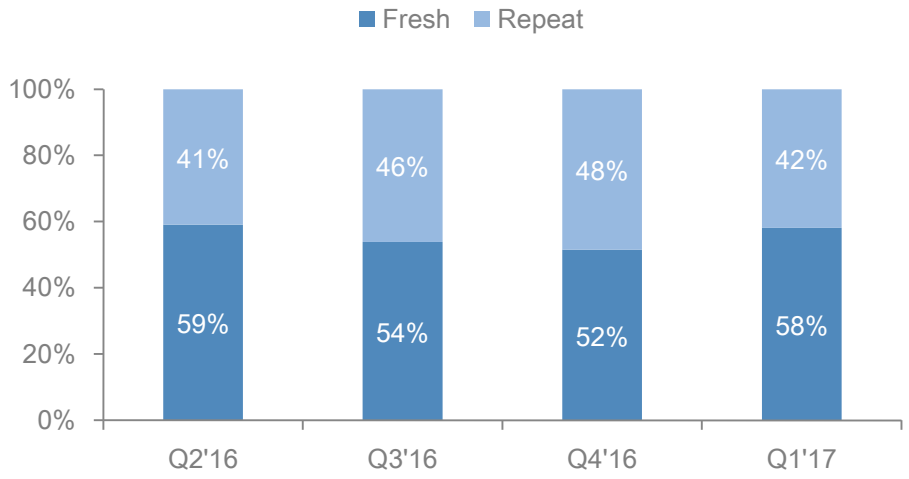


Product Per Customer (PPC)

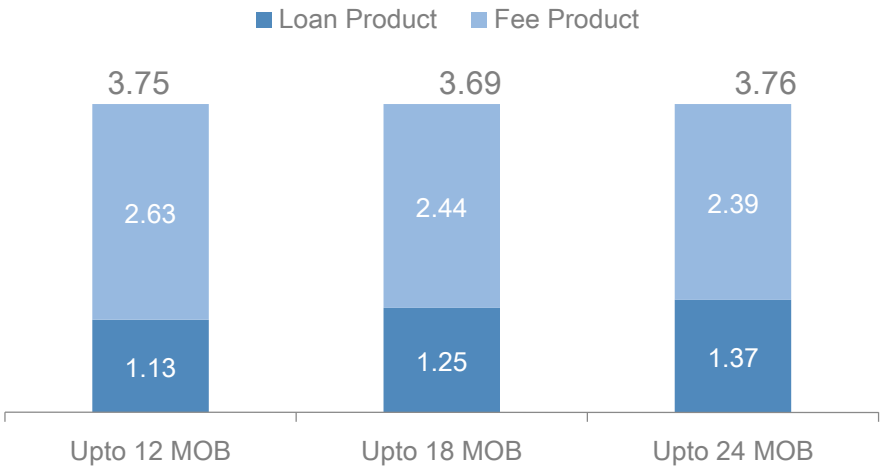


SME

Disbursed Value (` Crore) – Fresh v/s Repeat Mix



Product Per Customer (PPC)



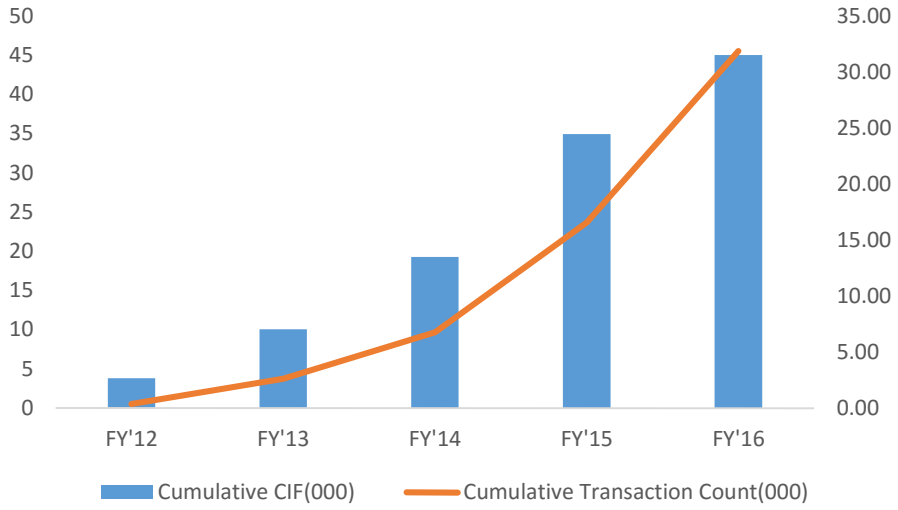
* Base product is included in the PPC calculation
* PPC does not include short tenor & renewable loans (viz. PO, LAS & Retailer finance), TW, Infra and Rural lending sourcing

EMI CARD FRANCHISE

What is EMI Card

- EMI Card refers to **E**xisting **M**ember **I**dentification Card.
- The EMI card can be used to purchase consumer durables & lifestyle products, by availing a loan from BFL without any documents.
- Customers simply have to Swipe & Sign to buy using an EMI card.
- Total volume for Q1'FY17 – 9,14,500
- Average line assigned per EMI card (Amount in Rs):
  - Per issued card – 1,08,154
  - Per active card – 1,13,045
- Activation rate of delivered EMI cards:
  - 0-6 MOB- 25%, 0-9 MOB – 33%, 0-12 MOB - 40%

Progress till date



Key milestones

- Launch of EMI Card Pilot: **May 2011**
- 1 Mn Cards Milestone: **November 2012**
- EMI Card New Design Launch: **July 2013**
- 3 Mn Cards Delivered Milestone : **Nov 2014**
- 1.5 Lac Transactions Milestone **: Nov 2014**
- 1 Mn Active cards milestone crossed : **Feb 2015**
- First co-branded card launched with Vijay Sales : **May 2015**
- Second co-branded card launched with Ezone : **Dec 2015**
- 2 Mn Active cards milestone crossed – **Mar 2016.**
- 3.4 Lac Transactions in single month : **May 2016.**

EMI Card Old & New design



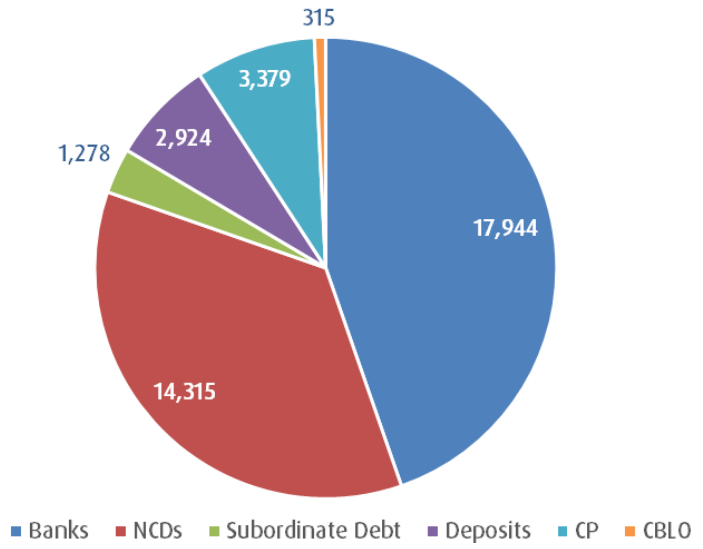
Old EMI Card design (May 2011 to June 2013)



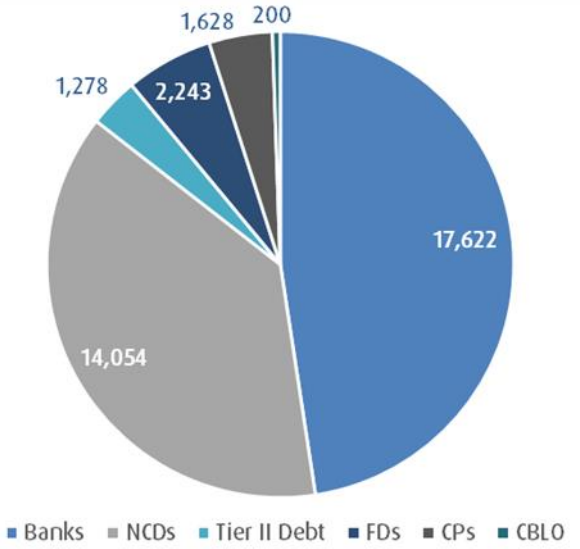
New EMI Card design (July 2013 onwards)

ALM STRATEGY

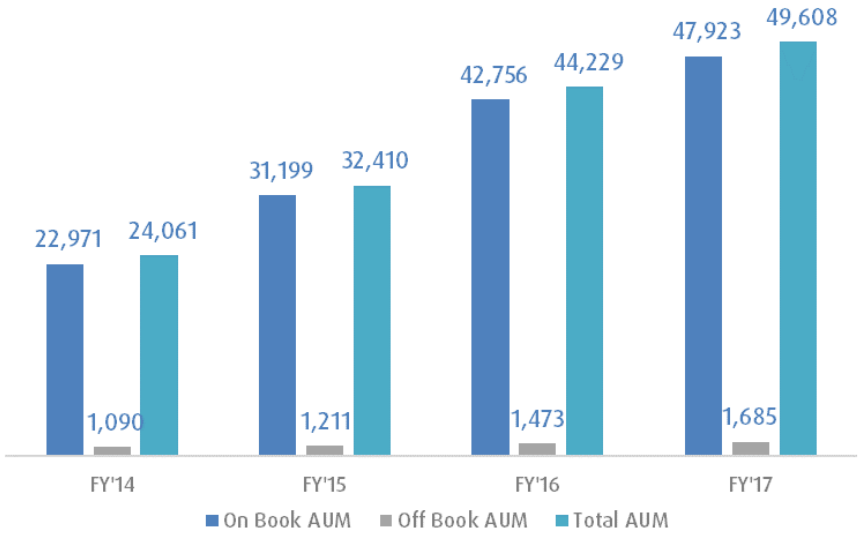
Borrowings – June'16 (₹ 40,155 Crs)



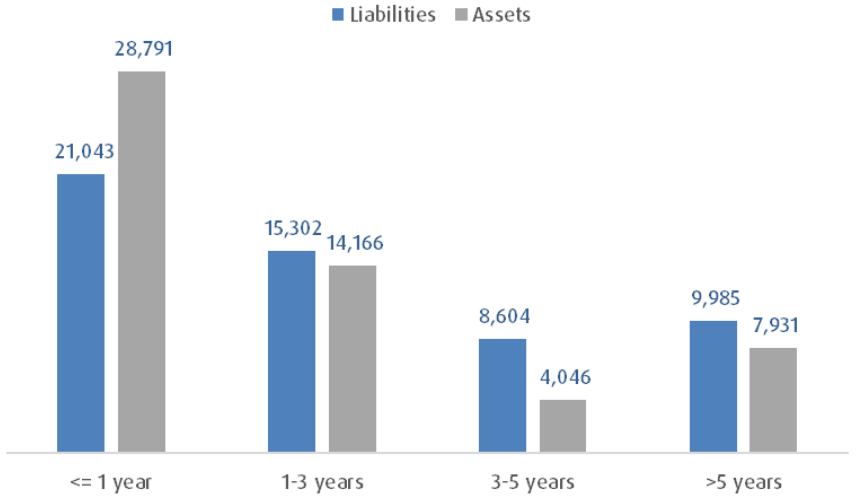
Borrowings – March'16 (₹ 37,025 Crs)



Loan Book (₹ Crs)



Behaviourilised ALM (₹ Crs)



NPA PROVISIONING STANDARDS

Bajaj Finance provides a general provision of 0.40% on all standard assets (0.50% on Mortgages) against RBI's requirement of 0.25% (from FY16 0.30%)

Consumer Finance provision coverage

- Consumer Durables :
  - 3-5 Bucket - 75%
  - Above 5 - 100%
- 2 and 3 Wheeler :
  - 3 – 5 Bucket – 30%
  - 6 - 12 Bucket - 60%
  - Above 12 - 100%
- Personal Loan Cross Sell :
  - 3 - 5 Bucket - 60%
  - Above 5 - 100%
- Salaried Personal Loan :
  - 3 - 5 Bucket – 75%
  - Above 5 - 100%

SME Finance provision coverage

- Home Loan / Loan against Property :
  - 4-5 Bucket - 15%
  - 6–12 Bucket - 25%
  - 13-18 Bucket – 40%
  - 18-24 Bucket – 60%
  - Above 24 - 100%
- Working Capital Loans :
  - 3-5 Bucket – 70%
  - Above 5 – 100%
- Loan against Securities :
  - Above 5 - 100%

Commercial Lending provision coverage

- Construction Equipment Finance :
  - 4 -5 Bucket - 15%
  - 6 - 9 Bucket - 30%
  - 10 - 12 Bucket - 60%
  - Above 12 - 100 %
- Auto Component Finance :
  - 6 – 12 Bucket – 10%
  - 12 – 18 Bucket – 20%
  - 18 – 24 Bucket – 30%
  - Above 24 – 100%
  - Graded provision on secured portfolio

Bajaj Finance provisioning standards are substantially stringent than RBI norms applicable for NBFC's.